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CHIEF INVESTMENT OFFICE

Capital Market Outlook

October 5, 2026

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IN THIS ISSUE

Macro Strategy—*Stronger Growth, Costlier Money:* Revised government data show the U.S. economy has accelerated despite the tariffs and oil shocks. Real gross domestic product (GDP) growth was revised up, and, given modestly higher labor input, productivity is expected to show even stronger growth than has been reported. High operating leverage alongside strong productivity has benefited corporate profits. Following methodological changes, "core" personal consumption expenditures (PCE) inflation momentum declined over the past three months. Still, while inflation sensitive to labor market conditions eased further, unresolved upside pressures on "acyclical" inflation from diesel shortages and rising freight costs threaten to keep overall inflation elevated. The rise in bond yields appears caused by a mix of stronger growth and higher premium for inflation as well as government debt funding pressures—a less favorable combination for risk assets than if rising U.S. productivity alone were lifting the neutral interest rate.

Market View—*Yields, Yen and Iran: What Haunts the "House":* A weaker yen, rising Treasury yields and the drawn-out conflict with Iran are all moving counter to Treasury Secretary Scott Bessent's policy goals. While the summer intervention helped stabilize the yen, its appreciation has been modest and dependent on further intervention/action from the Bank of Japan (BoJ). At the same time, Treasury yields have climbed sharply across the curve, with the MOVE Index subject to the velocity of the bond market repricing.

Abroad, geopolitical risks remain elevated. Delays in reopening the Strait of Hormuz and disruptions to Russian refining capacity have kept energy markets tight, particularly in diesel. Despite these headwinds, our outlook remains constructive. Ultimately, the backstop for the markets is the corporate sector's ability to deliver on earnings into 2027.

Thought of the Week—*When It Comes to Attracting Foreign Capital, the U.S. Remains Exceptional:* And the money keeps coming: Both portfolio and foreign direct investment (FDI) inflows are running at record levels this year, a dynamic that speaks to 1) the attractiveness of U.S. assets and 2) the U.S. economy as a place to do business. Global investors invested some $942 billion (B) in net purchases of U.S. Equities in the 12 months to July, the highest rolling 12-month total on record. In Q2, net purchase of U.S. Equities soared to $426B, up 62% from the same period a year ago. Meanwhile, foreign multinationals invested some $240B into the U.S. in the first six months of this year. That is a staggering 103% jump from a year ago; FDI inflows are on track for a record year, estimated at $480B for 2026.

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MACRO STRATEGY ▶

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MARKETS IN REVIEW ▶

Portfolio Considerations

We view recent volatility as a rolling correction rather than the end of the cycle. We favor diversified Equity exposure, with potential opportunities extending beyond Growth to Value, Small- and Mid-caps, Non-U.S. Equities (especially Emerging Markets), dividend-focused and thematic strategies.

We favor adjusting portfolios toward strategic durations given attractive elevated nominal and real yields, and see value in high-quality bonds, particularly longer-dated municipal bonds.

Consider broader portfolio diversification with potential opportunities across industrial metals, energy, Real/Tangible Assets, Hedge Funds, private markets and global strategies to capture themes from AI, reindustrialization, infrastructure growth and market dispersion.

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Stronger Growth, Costlier Money

Chief Investment Office, *Macro Strategy Team*

The latest GDP report and annual revisions show a sturdier U.S. economy than previously reported. According to the Bureau of Economic Analysis (BEA), real GDP grew at a 2.2% annualized pace in Q2 compared to 1.5% previously estimated, and Q1 was revised from 2.1% to 2.5%. Both 2024 and 2025 were also revised slightly higher. Most of the first half of the year revision was in categories related to the Artificial Intelligence (AI) buildout, but real consumer spending has also been revised slightly higher, accelerating from 0.7% annualized growth in Q1 to 3.8% in Q2 despite surging energy prices and slow hiring.

Spending in July and August remained much stronger than labor market conditions alone would suggest, also averaging 3.7% annualized growth. Upside revisions to net interest income and personal saving suggest households have benefited from more income than was previously apparent, with personal saving revised higher back to 2023. The new data, according to the BEA, show the January to July 2026 savings rate averaged 4.8% versus 3.3% prerevision, strengthening consumer spending underpinnings despite moderate hiring, high energy prices and rising borrowing costs.

The BEA update also included inflation methodological changes related to categories inflated by the AI boom—such as portfolio management fees and computer software and accessories. These improved the inflation picture to some extent—August "core" PCE inflation was reduced by 0.3 ppts to 3% YoY, bringing it closer to "core" consumer price index inflation, which was 2.5% YoY and 2% on a three-month annualized basis. While still above the 2% Federal Reserve (Fed) target, "core" PCE now appears stable at 3% year over year since January rather than accelerating. These methodological changes are expected to dampen pass-through of AI-related price pressures into "core" inflation and effects of stock-market swings on inflation.

They also produced an encouraging improvement in recent PCE inflation momentum. Three-month annualized "core" PCE inflation slowed from 4.3% at the peak of tariff effects in February to 2.1% in August. For durable goods, this rate was down from 5.8% in February to 1.5% in August, and, for services ex-energy and healthcare, it slowed from 4.2% to 2.2%, for example. Inflation is volatile on a three-month change basis, so it remains to be seen whether this moderation continues without further Fed tightening.

For now, the trends in the San Francisco Fed's cyclical versus acyclical inflation measures diverged again in August. As expected, given softening wage growth, prices most sensitive to the labor market have eased further. At 3% YoY, this inflation category is down from 8% in early 2023 and 4.6% two years ago is back to prepandemic levels and is likely to ease more (Exhibit 1A). In contrast, supply bottlenecks, high energy prices and other industry-specific factors have kept acyclical inflation on an uptrend. As shown in Exhibit 1B, the relentless increase in freight costs could prolong upside pressure on this category.

The diesel market has tightened in recent months, boosting its price by 70% YoY, consistent with Brent oil at around $200 per barrel and large reverberations across a wide swath of goods and services prices. A government-policy-related decline in available truck drivers is also raising transportation costs more than expected. So are tight ocean shipping capacity and longer/more expensive voyages due to the U.S./Iran War. Supply-chain stress also increased as companies rushed to front-run potential new tariff increases.

On the positive side for the inflation outlook, unit labor costs (ULC) are up modestly as robust productivity growth has absorbed much of the wage growth, limiting a major source of domestic inflation. Upside productivity growth revisions are likely to further reduce ULC, which could help shift focus from energy and AI-related inflation to eventual disinflationary effects once oil and refined fuel prices start to ease. Sustained productivity gains would support growth and margins while limiting inflation and the need for much higher interest rates.

Investment Implications

We favor selective Equity exposure to companies with durable demand and pricing power, while remaining cautious about businesses most exposed to fuel, freight, and financing costs. We would also gradually increase long-duration exposure.

Surging nominal growth has boosted corporate revenues (up 13% YoY in Q2, according to the BEA) while contained unit labor costs helped raise margins and profits more than expected. With labor costs declining as a share of revenues, investment-related tax incentives and rock-bottom net interest expense, pre-tax nonfinancial corporate profits as measured in GDP accounts rose 21% YoY in Q2. Total corporate profits after-tax were up 18.2% YoY, according to the BEA.

Surging AI-related imports and investment are keeping the business and profits cycle on an uptrend both here and abroad. According to BofA Global Research, the global economic cycle backdrop improved further in September, as reflected in a broad-based increase in its Global Wave[1] indicator. Broadening U.S. manufacturing strength, fueled by ongoing AI-driven investment, a healthier orders backlog and low inventories suggest that the expansion has room to run—a constructive environment for earnings. Typically, a Global Wave upswing is consistent with rising earnings revisions ratios and equity price uptrends. According to the Global Wave, global earnings growth expectations remain exceptionally strong.

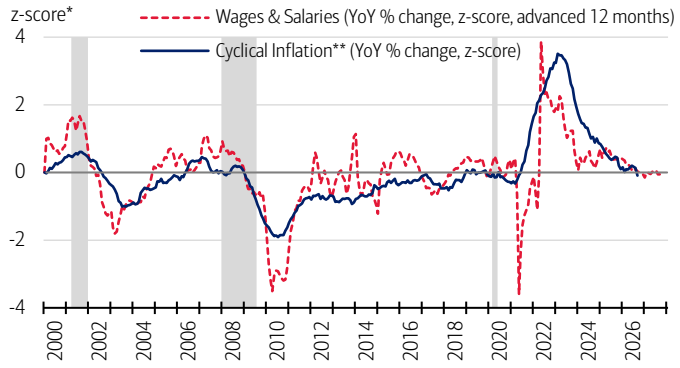
Still, absent a resolution of war-related energy and transportation disruptions, the same industrial strength intensifies inflation pressures. A prolonged supply shock raises the risk of restrictive interest rates and weakening economic growth. In this context, the surge in the 10-year Treasury yield above 5% is starting to reflect more than optimism about U.S. growth and strengthening productivity outlook. Oil's tightest recent correlation with 10-year Treasury yields in 35 years suggests a common energy-price thread behind rising yields in developed countries.

Bond market spillovers from normalizing Japan yields and capital repatriation are another common thread. Higher yields on foreign sovereign bonds such as in Japan—which has escaped stagnation and deflation by intensely pursuing investment-led growth—weaken the relative appeal of Treasurys. That distinction matters for portfolios. A yield increase driven mainly by durable productivity gains would come with a stronger outlook for future income and earnings. A yield increase driven by cost shocks and greater uncertainty raises financing costs without the same benefit.

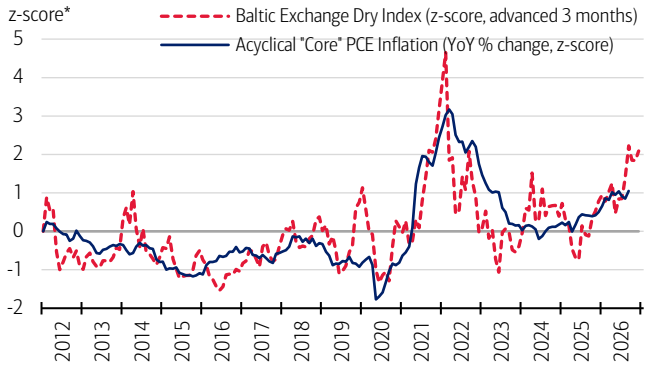
In sum, the economy remains more resilient than expected, but the bond market is also charging more for an uncertain inflation outlook given untethered government debt and cooling global demand for Treasurys spurred by geopolitical tensions and Japan capital repatriation. The case for much further tightening becomes stronger if wage growth strengthens, productivity lags, and unit labor costs reaccelerate, causing cyclical inflation to also pick up steam. The case becomes weaker if that measure stays contained while fuel and freight pressures recede or rising Treasury yields reduce asset prices and economic growth.

Exhibit 1: Softer Cyclical/Higher Acyclical Inflation Keeps "Core" PCE at 3% Year Through August.

A) Cooling wage pressures ease cyclical inflation (housing, food services and accommodation, etc.).



B) Surge in U.S. AI-related imports, tariff front-running, shipping disruptions and fuel- price spike feed acyclical inflation.



*Z-score = number of standard deviations from the mean of a data set. **Inflation driven by wage growth and unemployment gap. Exhibit 1A) Source: Bureau of Economic Analysis; San Francisco Federal Reserve/Haver Analytics. Data as of September 30, 2026. Exhibit 1B) Source: Baltic; San Francisco Federal Reserve/Haver Analytics. Data as of September 30, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

[1] BofA Global Research Global Wave is an indicator that quantifies global economic trends, and it is used to forecast stock market performance.

Yields, Yen and Iran: What Haunts the "House"

Lauren Sanfilippo, ***Director and Senior Investment Strategist***

Joseph Quinlan, ***Managing Director and Head of Market Strategy***

We recently highlighted the three-front challenge facing Treasury Secretary Scott Bessent: engineering a stronger yen, containing the 10-year Treasury yield and securing a diplomatic resolution to the conflict with Iran.

Bessent recently has delivered one of the year's more memorable lines while discussing Treasury policy and the yen: "I have asymmetric information. I am the house now."[2] Yet several challenges remain: the 10-year Treasury yield is near levels last seen in the early 2000s, the yen remains structurally weaker, and a phased agreement to reopen the Strait of Hormuz appears remote. The resulting strain on energy markets keeps inflation risks elevated.

Put differently, oil prices, Treasury yields and the dollar-yen exchange rate are all trending against Bessent's objectives. Below, we examine how each variable is haunting his "house."

Haunting the "House" is the Yen. Since the U.S. and Japan mounted a record $98.7B coordinated intervention in late July after the yen weakened to a 40-year low near 164 per dollar, the currency has appreciated roughly 4% against the dollar. The move was further supported on September 18 when the BoJ raised rates by 25 basis points (bps) to 1.25%, their highest level since the mid-1990s (Exhibit 2A). However, the split 7–2 vote and Governor Ueda's limited forward guidance leave the path of further tightening uncertain. The key question is whether additional BoJ hikes can produce sustained appreciation in the yen, or merely reinforce the temporary relief provided by the summer intervention.

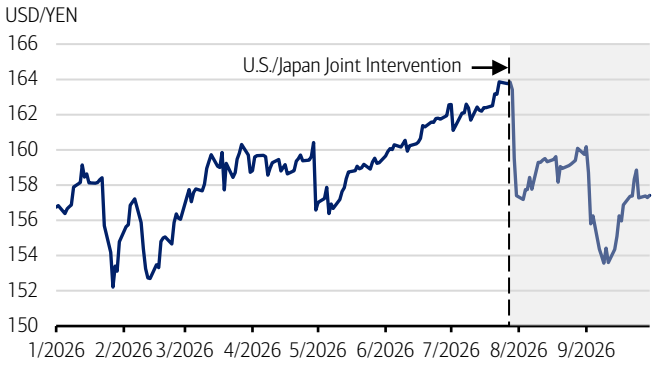
Bessent, meanwhile, has repeatedly signaled his preference for a stronger yen. Partly because yen stability is also a U.S. financing concern. Persistent currency weakness could prompt Japan to support its currency by selling foreign assets, including U.S. Treasurys—which would be an unwelcome prospect as Washington partially relies on foreign capital flows to fund its large fiscal deficits. That potential "haunts" the Treasury Secretary. At precisely the moment Washington needs foreign capital to finance its enormous fiscal deficits, it would be inopportune for one of America's largest creditors to become a significant seller of Treasury securities.

Investment Implications

While some key variables are complicating the macro backdrop (i.e., higher-for-longer yields/oil) the combination of strong earnings growth, robust consumer demand (real final sales to private domestic purchasers grew at 4.6% for Q2) and ongoing capital investment suggests that the fundamental backdrop for U.S. Equities remains constructive.

Exhibit 2: Charting the "Yentervention" and U.S. Treasury Yields Surge Across the Curve.

A) The Yen Regains Some Strength.



B) 5-Year Forward Yields Hold Above 5%.

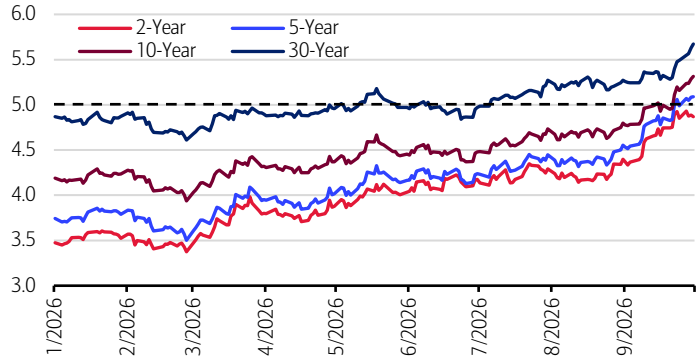


Exhibit 2A) Source: Bloomberg. Data as of September 30, 2026. Exhibit 2B) Source: Bloomberg. Data as of September 30, 2026.

Haunting the "House" are Yields. The surge in yields runs counter to a White House intent on lowering borrowing costs. The benchmark 10-year yield has broken above the 5% threshold and climbed to levels not seen since 2007. At around 5.30%, it stands more than a full percentage point above where it began the year (Exhibit 2B). The level is striking but so is the speed of the move: Stronger-than-expected economic data, including a survey showing U.S.

[2] September 8, 2026.

business activity expanded at the fastest pace in more than five years, helped trigger an 18 bps surge in the 10-year yield—among its largest daily moves in decades. The 5-year yield also topped 5% for the first time since 2007, while the 30-year yield reached 5.63%, its highest level since 2002.

Compounding the move is inflation, running above the Fed's 2% target for 67 months, large fiscal deficits and the prospect of continued growth in Treasury issuance. Against this backdrop, Treasury bought back $4.1 billion of long-dated debt, versus a maximum of $6 billion. That effort has done little to arrest the selloff. A subsequent auction priced nearly $4 billion of 7-year notes at 5.085%, the highest yield for that maturity in 33 years.

All in, the MOVE index, a key gauge of Treasury market volatility, jumped from 78 to 95 on Wednesday September 23 and then to 104 the following day, its highest level since the early days of the Iran war (Exhibit 3A).

Haunting the "House" is the Iran conflict. Early expectations that military pressure and economic sanctions would quickly bring Iran to the negotiating table have yet to materialize. Iranian officials have signaled that a full reopening of the Strait of Hormuz remains unlikely while sanctions stay in place. Although talks between Washington and Tehran are continuing, conflicting signals and lingering skepticism from both sides have kept tensions elevated. As a result, oil prices have remained elevated in a range even as some Middle East supply disruptions began to ease.

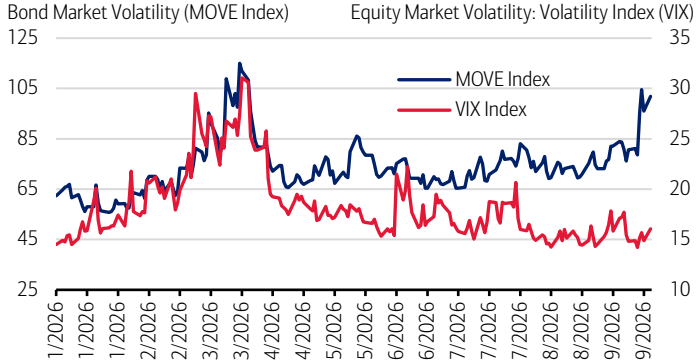
Startling is that Brent crude is up more than 60% this year, but refined product prices have risen even faster. Ongoing disruptions to energy flows through the Strait of Hormuz, combined with Ukrainian strikes on Russian refining infrastructure have tightened global supplies of crude oil and refined fuels. Saudi Arabia has restored some drone-disrupted flows, providing roughly 3.5 million barrels a day of relief (roughly 3% of global consumption).

The squeeze is mostly acute in diesel markets, where inventories remain constrained and prices continue to climb (Exhibit 3B). U.S. diesel prices recently surpassed $6.50 per gallon, the highest level on record, just as Russia has extended restrictions on diesel exports into October. Against this backdrop, proposals to ban U.S. fuel exports risks worsening the imbalance. According to S&P Global, an export ban could reduce refinery runs by nearly 2 million barrels per day and significantly cut gasoline production, potentially driving gasoline and jet fuel prices even higher. As long as tensions persist, the oil impulse remains a key impediment to structurally lower inflation.

Investment implications. Treasury Secretary Bessent increasingly sits at the intersection of monetary policy, fiscal policy, foreign policy and national security. We remain constructive on the U.S. economy and overweight U.S. Equities but are watching as these fronts challenge the narrative. There is a great deal riding on the "house" versus the key macro variables of today.

Exhibit 3: Pulse Check on: Equity/Bond Volatility and Diesel/Gasoline Prices.

A) Bond and Equity Market Volatility Diverge.



B) Pain at the Pump: Diesel Prices Surge Ahead of Gasoline.

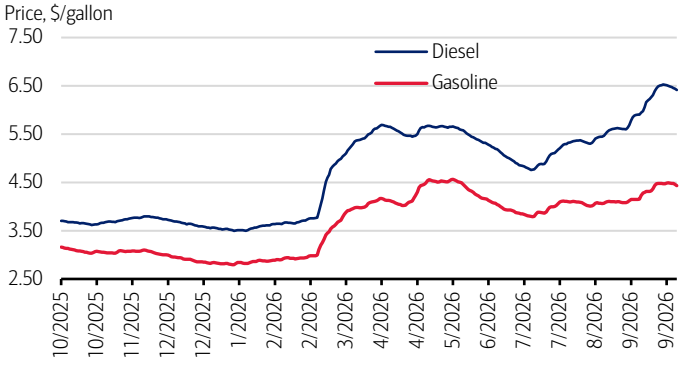


Exhibit 3A) Source: Bloomberg. Data as of September 22, 2026. Exhibit 2B) Source: Bloomberg. Data as of September 25, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

THOUGHT OF THE WEEK

When It Comes to Attracting Foreign Capital, the U.S. Remains Exceptional

Joseph Quinlan, ***Managing Director and Head of Market Strategy***

There may be no better vote of confidence in a country than the willingness of foreigners to put their money there. And by that measurement, the U.S. remains the exception—both portfolio and FDI inflows are currently running at record highs based on the latest data. This dynamic is one key reason why we remain constructive on U.S. assets over the longer term.

Notwithstanding all the handwringing about America's fiscal deficits, tariffs and rising government debt, global investors sunk some $942B in net purchases of U.S. Equities in the 12 months to July, the highest rolling 12-month total on record. In Q2, net purchase of U.S. Equities soared to $426B, up 62% from the same period a year ago (Exhibit 4A). By country, flows were down from China—not surprisingly—but strong from Taiwan and South Korea, who have taken to recycling their massive AI-generated trade surplus back into the U.S. In the end, strong portfolio inflows suggest that international investors remain willing to increase their exposure to the world's largest capital market—that's bullish for U.S. assets.

Meanwhile, Exhibit 4B highlights the growing push among foreign multinationals to be inside the U.S., with FDI inflows totaling nearly $240B in the first six months of this year. That is a staggering 103% jump from a year ago and means FDI inflows are on track for a record year, estimated at $480B for 2026.

There are multiple factors behind surging inflows: One, due to rising U.S. trade protectionism, foreign multinationals increasingly want to be "inside" the U.S. economy, not outside. Two, within the $32 trillion-plus economy with extraordinarily consumer purchasing power, foreign firms prefer to be closer to their customers via investment than just trade (exports). Three, America's massive investment cycle in AI, data centers, semiconductors, power generation, etc., has created numerous potential investment opportunities for many foreign firms that don't want to miss out on America's surging capex cycle. Four, and finally, abundant energy supplies, deep capital markets and a highly developed technological ecosystem have also induced more FDI inflows.

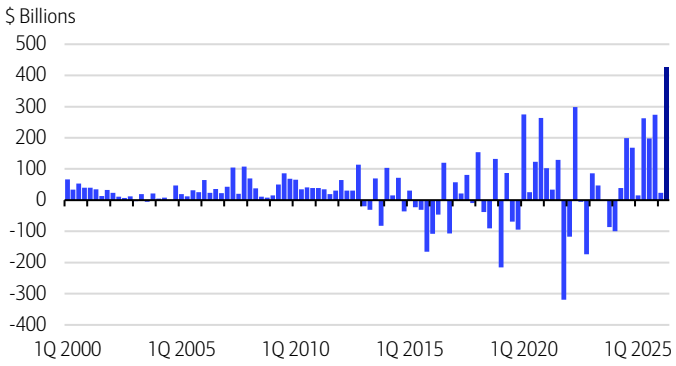
In the end, double-barreled capital inflows speak to the absolute and relative attractiveness of the U.S. economy and capital markets. Stay invested in America—the rest of the world is.

Investment Implications

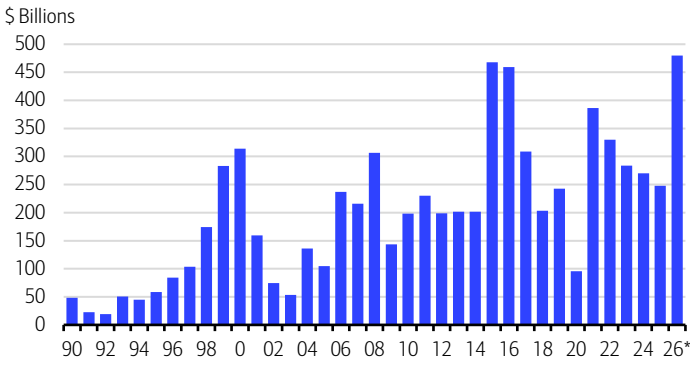
Foreign investors remain keen on owning and being "inside" the U.S. That is bullish for U.S. securities, both near-term and long-term.

Exhibit 4: U.S. Exceptionalism: Record Inflows of Portfolio and FDI Inflows.

A) Net Foreign Purchases of US Equities and Investment Funds.



B) FDI Inflows to the U.S.



*Annualized. Exhibit 4A) Source: U.S. Bureau of Economic Analysis. Data as of September 24, 2026. Exhibit 4B) Source: U.S. Bureau of Economic Analysis. Data as of September 24, 2026. **Past performance is no guarantee of future results.**

Equities

Equities	Total Return in USD (%) Current	WTD	MTD	YTD
DJIA	51,176.96	-1.3	0.5	7.8
NASDAQ	27,190.86	0.5	1.2	17.5
S&P 500	7,722.72	-0.2	0.9	13.8
S&P 400 Mid Cap	3,668.01	0.6	2.0	12.1
Russell 2000	2,832.90	-0.1	1.3	15.2
MSCI World	4,926.25	-0.6	0.5	12.3
MSCI EAFE	3,095.35	-1.5	-1.0	9.3
MSCI Emerging Markets	1,708.91	-1.2	0.2	23.7

Fixed Income†

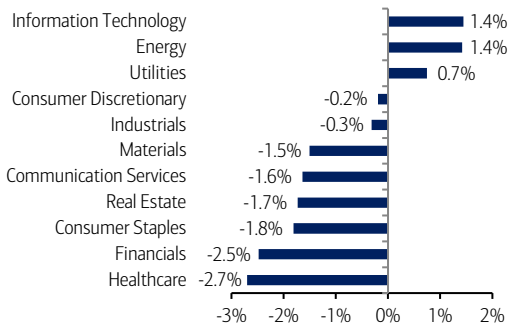
Fixed Income	Total Return in USD (%) Current	WTD	MTD	YTD
Corporate & Government	5.44	-0.54	0.01	-2.83
Agencies	5.22	-0.25	0.05	-1.14
Municipals	4.63	0.45	1.02	-3.20
U.S. Investment-Grade Credit	5.56	-0.60	0.05	-2.86
International	6.05	-0.70	-0.01	-3.13
High Yield	8.29	-0.65	0.04	0.14
90 Day Yield	4.09	4.17	4.11	3.63
2 Year Yield	4.82	4.85	4.89	3.47
10 Year Yield	5.27	5.16	5.28	4.17
30 Year Yield	5.62	5.49	5.63	4.84

Commodities & Currencies

Commodities	Total Return in USD (%) Current	WTD	MTD	YTD
Bloomberg Commodity	366.42	-1.9	-0.2	32.6
WTI Crude $/Barrel††	91.11	-1.4	0.8	58.7
Gold Spot $/Ounce††	4141.19	-3.4	-0.4	-4.1

Currencies	Total Return in USD (%) Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.13	1.14	1.13	1.17
USD/JPY	157.85	157.28	157.41	156.71
USD/CNH	6.71	6.72	6.71	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 09/28/2026 to10/2/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 10/2/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 10/2/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.3	3.4
Real U.S. GDP (% q/q annualized)	2.5	2.2	2.4*	2.3	2.2	2.2
CPI inflation (% y/y)	2.7	3.8	3.4*	3.7	3.4	2.6
Core CPI inflation (% y/y)	2.5	2.7	2.5*	2.6	2.6	2.6
Unemployment rate (%)	4.3	4.3	4.2*	4.2	4.2	4.1
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of October 2, 2026.
Sources: BofA Global Research; GWIM ISC as of October 2, 2026.

Asset Class Weightings (as of 9/1/2026)

Asset Class	CIO View Underweight	Neutral	Overweight
Global Equities			●
U.S. Large-cap Growth			●
U.S. Large-cap Value			●
U.S. Small-cap Growth			●
U.S. Small-cap Value			●
International Developed		●	
Emerging Markets			●
Global Fixed Income		●	
U.S. Governments		●	
U.S. Mortgages		●	
U.S. Corporates		●	
International Fixed Income		●	
High Yield		●	
U.S. Investment-grade Tax Exempt		●	
U.S. High Yield Tax Exempt		●	
Alternative Investments*			
Hedge Strategies			
Private Equity			
Private Credit			
Real Assets			
Cash			

CIO Equity Sector Views

Sector	CIO View Underweight	Neutral	Overweight
Industrials			▶
Financials			▶
Healthcare		▶	
Consumer Discretionary		◀	
Information Technology		●	
Energy		●	
Materials		●	
Utilities	◀		
Communication Services	●		
Real Estate	●		
Consumer Staples	◀		

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of September 1, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

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Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

ICE BofA MOVE Index is a market-implied measure of U.S. bond market volatility.

Consumer Price Index measures the average change over time in the prices paid by urban consumers for a market basket of consumer goods and services.

Baltic Dry Index is a daily shipping and trade index published by the Baltic Exchange in London that measures the cost of moving raw materials like iron ore, coal, and grain by sea.

Volatility Index (VIX) is a real-time market indicator that measures the stock market's expected volatility over the next 30 days.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

September 28, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*The Five Shocks of 2026—And the Extraordinary Resilience of the U.S. Economy:* Entering 2026, consensus was expecting moderating U.S. growth, interest rate cuts from the Federal Reserve (Fed), modest earnings growth, contained energy prices, and continued Republican control of Washington. Nine months later, nearly every part of the consensus view has unraveled. Instead, the year has been defined by a succession of five major shocks: a diesel energy shock, a dramatic shift from expected interest rate cuts to rate hikes, an earnings boom, unexpectedly hot economic growth, and a shifting political landscape ahead of the midterm elections.

And yet, the biggest shock of all may not be the shocks themselves but the continued ability of the U.S. economy and corporate sector to overcome them.

Market View—*2026 Has, So Far, Defied the Traditional Midterm Year Playbook:* The midterm elections are quickly approaching with several matters at hand. Geopolitical uncertainty, inflation pressures, fiscal concerns, affordability and artificial intelligence remain key considerations, yet markets have thus far defied the traditional midterm year playbook. U.S. Equities have remained resilient, with performance outpacing historical patterns and market pullbacks remaining relatively subdued. While volatility could rise as election day approaches, seasonal trends turn increasingly constructive into year-end and following the election. For investors, the implication is straightforward: Look through short-term political uncertainty, stay focused on fundamentals, and maintain a long-term perspective. The midterm elections are quickly approaching with several matters at hand. Geopolitical uncertainty, inflation pressures, fiscal concerns, affordability and Artificial Intelligence (AI) remain key considerations, yet markets have thus far defied the traditional midterm year playbook. U.S. Equities have remained resilient, with performance outpacing historical patterns and market pullbacks remaining relatively subdued.

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The Ticker Tape—*Top Questions Answered Directly by Our Chief Investment Officer (CIO).*

- What is the bond market telling us?

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MACRO STRATEGY ▶

MARKET VIEW ▶

THE TICKER TAPE ▶

MARKETS IN REVIEW ▶

Portfolio Considerations

We view recent volatility as a rolling correction rather than the end of the cycle. We favor diversified Equity exposure, with potential opportunities extending beyond Growth to Value, Small- and Mid-caps, Non-U.S. Equities (especially Emerging Markets), dividend-focused and thematic strategies.

We favor adjusting portfolios toward strategic durations given attractive elevated nominal and real yields, and see value in high-quality bonds, particularly longer-dated municipal bonds.

Consider broader portfolio diversification with potential opportunities across industrial metals, energy, Real/Tangible Assets, Hedge Funds, private markets and global strategies to capture themes from AI, reindustrialization, infrastructure growth and market dispersion.

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The Five Shocks of 2026—And the Extraordinary Resilience of the U.S. Economy

Joseph Quinlan, ***Managing Director and Head of Market Strategy***
Lauren Sanfilippo, ***Director and Senior Investment Strategist***

This is the year the consensus got mugged.

Rewind to the start of the year. The market consensus was that the U.S. economy was set to slow. The Fed was set to cut interest rates. Corporate earnings were set to grow—but not explode. Energy prices would remain tame. And the odds looked good that the Republicans would control the House, the Senate, or both, following the midterm election.

Nine months on, the landscape looks starkly different. Defined by five shocks—energy, interest rates, earnings, growth, and politics—2026 looks nothing like the year investors thought they were buying on January 1.

Shock 1: Diesel Matters. While global oil prices have moved higher since the start of the U.S./Iran war on February 28, oil prices have yet to surpass their previous record high because the world has released some 400 million barrels from strategic reserves this year, China has curbed its demand for oil imports, and the U.S. has goosed its energy exports to record highs.

But here is the problem: While gasoline powers the American consumer, diesel powers the American economy—and diesel prices are now sitting at record highs. Diesel supplies have been hammered by wars in the Middle East and Ukraine that have sharply reduced refining capacity. According to the International Energy Agency, by August, exports of diesel from refiners in the Middle East had fallen by a quarter from prewar levels. Meanwhile, Ukraine has hit 24 of Russia's 34 largest refineries, reducing supplies from one of the world's largest diesel exporters. The upshot: U.S. diesel prices have soared from $3.55 a gallon at the start of the year to roughly $6.52 a gallon. While crude oil trades for around $100 a barrel, the retail equivalent of a barrel of diesel now costs more than $260. The diesel shock of 2026 was the last thing investors saw coming—and remains a key impediment to structurally lower inflation.

Shock 2: From Interest Rate Cuts to Rate Hikes. Perhaps no other consensus view entering 2026 has been turned more dramatically on its head than expectations for the Fed. Heading into 2026, markets were pricing in rate cuts on expectations of a cooling labor market, moderating inflation, and slower economic growth. The Fed easing cycle was expected to continue in 2026. In January 2026, futures showed a roughly 50% chance of a cut by March.

Expectations, however, flipped in late February with the start of the U.S./Iran war. The Middle East energy shock reignited inflationary pressures, which, combined with stronger-than-expected U.S. economic growth and a tightening labor market, have demolished the odds of easier money in 2026. Short- and long-term Treasury yields rose sharply last week in the wake of the S&P Global Flash U.S. Composite Purchasing Managers' Index (PMI) which pointed to the strongest business expansion in more than five years and the fastest employment growth in over four years, while also reinforcing expectations that the Fed will maintain a restrictive policy stance for longer. Markets were expecting two to three quarter-point rate cuts in 2026; instead, the Fed has already raised rates once this year and is expected to keep raising rates over the near term.

Shock 3: The Earnings Boom No One Saw Coming. Not all the shocks of 2026 are negative. Indeed, stronger-than-expected corporate earnings have been among the most positive factors of this year. Corporate America entered the year facing questions about tariffs, AI-related capital expenditure spending, the health of the U.S. consumer, operating leverage and the U.S. dollar outlook. At the start of the year, Wall Street was expecting roughly $290 of S&P 500 earnings per share for 2026, per Bloomberg estimates. But by September 21, the estimate had risen by $50, to $340 per share.

Investment Implications

While some of these shocks may contribute to periods of market volatility, the combination of strong earnings growth, robust domestic demand, and ongoing capital investment suggests that the fundamental backdrop for Equities remains constructive.

Earnings have been upgraded and underpinned by several factors, including robust final domestic demand in the U.S., a pickup in global growth, AI-related capital spending, productivity gains, and enhanced operating leverage. All these variables have helped deliver an earnings "shock" to Wall Street. And as an aside, yes, headline profit growth has been inflated by strong technology earnings and one-off investment gains from Amazon and Alphabet. That said, the S&P 500's earnings story remains extraordinary. According to FactSet, the 493 companies excluding the Magnificent 7[1] posted 31.8% earnings growth in Q2, the strongest level since late 2021.

Shock 4: An Economy with more Horsepower than the Headlines Suggest. That corporate profits have exceeded expectations this year is due in no small part to an economy that continues to surprise to the upside. The Fed was supposed to cut rates this year to keep the economy humming and prevent it from losing steam. But rather than limp through 2026, the economy has leaped ahead. Yes, real gross domestic product (GDP) growth of 2.1% in Q1 and 1.5% in Q2 are hardly blockbuster annualized rates of growth. However, the figures belie the underlying strength of the U.S. economy, with real final domestic demand (which strips out trade) running at a 4.2% annual rate in Q2. According to the latest reading of the Atlanta Fed GDP tracker, Q3 real GDP growth is running at a red-hot rate of 5.1%. Slowdown? What slowdown?

Resilient consumer spending, robust capital investment, record levels of new business formation, and strong foreign direct investment inflows have combined to stoke growth in the $32 trillion behemoth called the U.S. economy—the most resilient and dynamic economy in the world.

Shock 5: The Unexpected Washington Reset. The last shock is still in the making, but given current trends, the odds are rising that the Democrats could control both the House and Senate following the midterm elections. To this point, in January, and per Kalshi, the Democrats had a 71% shot at the House and an 18% chance of taking the Senate. Fast-forward to today, and the odds are a 90% chance that the Democrats take the House and a 60% chance that they take the Senate.

How all of this plays out remains to be seen—there are some 36 days before the November vote, and anything can happen. The market base case remains that the Democrats take the House, and the Senate is a toss-up—or too close to call. But with the Democrats expected to control at least one chamber of Congress, investors can expect more volatility and uncertainty about negotiations over the budget, debt ceiling, defense spending and AI regulation. Another political wildcard to watch: the changing dynamics within the Democratic Party.

The Biggest Shock of All for 2026? Perhaps it's not $6 diesel, rising interest rates, solid growth, booming profits or shifting politics. Rather, it's the ability of the U.S. economy to absorb the unexpected, not buckle under stress, and continue generating wealth for investors. To wit, the S&P 500 is on pace for its fourth consecutive year of double-digit returns.

Exhibit 1: The Five Shocks of 2026: What Investors Expected vs. What They Got.

	January 2026 Consensus	September 2026 Reality	The Shock
ENERGY	Relatively contained energy costs	Diesel above $6/gallon	Energy shock—a new tax on the physical economy
INTEREST RATES	Fed easing expected	Fed raised rates 25 basis points in September to 3.75%-4.00%	Rate shock—easing cycle goes into reverse
EARNINGS	Solid but moderating profit growth	S&P 500 Q2 earnings growth headed toward around 29+	Positive earnings shock—corporate America vastly outperforms
POLITICS	Republican control of Washington	Democrats lead 44%-37% in recent generic congressional polling; chamber control remains contested	Political shock—policy outcomes become much less certain
GROWTH	Cooling economy	Fed now projects 2.3% 2026 GDP growth, above its 2.0% longer-run estimate	Growth shock—economy has more horsepower than anticipated

Sources: Chief Investment Office; Federal Reserve; Energy Information Administration; FactSet. Data as of September 2026.

[1] Apple, Amazon, Alphabet, Nvidia, Meta, Microsoft, and Tesla.

2026 Has, So Far, Defied the Traditional Midterm Year Playbook

Jordy Fuentes, ***Assistant Vice President and Investment Strategist***

Current Landscape. To no surprise, market volatility persisted in 2026. Performance initially tracked historical midterm election patterns before diverging meaningfully as the year progressed, though there are still three months to go. Several items remain at hand as U.S. voters head to the polls in November, including geopolitical and foreign policy uncertainty, energy driven inflation pressures, affordability concerns, U.S. fiscal trajectory, and rapid advancements in AI. Regardless of the eventual political outcome, history suggests that markets and the economy can perform well across different configurations of government. In our view, markets continue to be anchored by strong fundamentals and encouraging seasonal trends.

Investment Implications

In our view, any related market weakness could represent a potential buying opportunity for long-term investors.

To Be Addressed. U.S. domestic and foreign policy remain in focus as the global reorder, tit-for-tat tariffs, and geopolitical conflicts spanning the Middle East to Eastern Europe have added layers of uncertainty to the U.S. economic outlook.

At the same time, persistent geopolitical flare-ups have pushed oil prices materially higher, adding to inflation pressures and keeping them above the Fed's 2% target. Headline Consumer Price Index (CPI) held above 3% year-over-year (YoY) in August, while its core measure, which excludes food and energy, held at 2.4% YoY. The latest Personal Consumption Expenditure (PCE), the Fed's preferred measure of inflation, also remained above 3% YoY for both its headline and core figures.[2]

The U.S. fiscal trajectory is another area of focus. The U.S. budget deficit stands at 5.4% of GDP, just above this century's average of 4.6%. Meanwhile, U.S. public sector debt surpassed the $40 trillion mark for the first time in August, oscillating around 100% of GDP.[3] While these trends warrant close monitoring, we view them as a slow-moving structural headwind rather than an immediate concern, particularly within a highly innovative and diverse U.S. economy.

AI has emerged as a policy consideration, with debates increasingly centered on both regulatory safeguards and the economic implications of the expanding infrastructure buildout. For voters, those concerns extend to affordability, as the significant energy requirements of new data centers raise questions about potential pressure on electricity costs.

Strap In for The Ride. Leading up to the midterm election, markets tend to experience greater swings as investors navigate uncertainty surrounding the policy path for the remainder of the presidential cycle (Exhibit 2A). Since 1930, the S&P 500 has averaged an intrayear drawdown of 20% in midterm years, with the latest election in 2022 experiencing a 25% intrayear pullback. This year, however, the S&P 500 largest peak-to-trough drawdown has been 9%, considerably shallower than its long-term average (Exhibit 2B). Yet while volatility may rise as election day approaches, 2026 has increasingly defied the traditional midterm year playbook.

Why 2026 is Different. Despite entering a challenging stretch of the presidential cycle, U.S. Equities have materially outpaced the typical year two pattern (Exhibit 2C). The S&P 500 experienced its best Q2 in a midterm year since 1938, surging 14.9% compared to an average decline of 1.6%. From a monthly perspective, September stands out as the weakest month, though month-to-date performance points to an unusual 1.0% rise. That resilience follows a 2.6% gain in August, another month in which performance meaningfully exceeded the historical decline of 0.5% (Exhibit 2D).

Through September, U.S. Equity resilience has also extended beyond headline returns with both the frequency and magnitude of market pullbacks remaining relatively subdued. Market corrections of 10% or more have occurred in just 29% of midterm election years since 1930.[4] Against this backdrop, the market's last correction came in spring 2025, while this year has

[2] Bloomberg, Bureau of Labor Statistics. Data through August 31, 2026.
[3] U.S. Treasury, Bureau of Economic Analysis. Data as of September 21, 2026.
[4] Bloomberg, data through December 31, 2022.

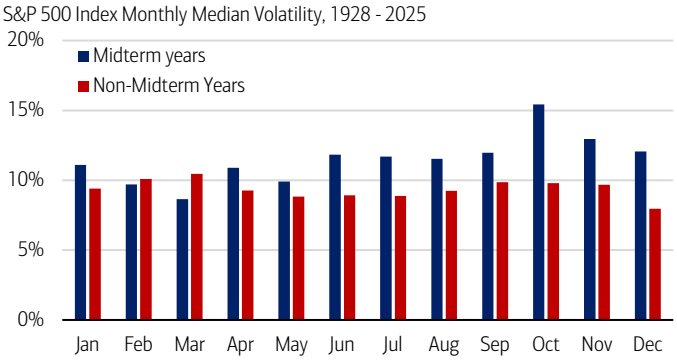
seen only one 5%+ pullback compared to the average three per year, underscoring relatively resilient market conditions.[5] Year-to-date, the S&P 500 has increased 13%, well above the average annual return of 3% according to Bloomberg through September 25, and on pace to mark the strongest midterm election year since 2006. Taken together, 2026 has thus far defied the traditionally weak midterm year seasonal pattern, reinforcing that every election cycle is unique and historical trends may be a useful guide to navigate market volatility.

What's Ahead? Forward performance is increasingly constructive for Equities. In the post-war period, the S&P 500 rose 100% of the time in the six and 12 months following elections, averaging 13% and 14%, respectively.[6] Even narrowing the time frame to three months, markets ended higher 90% of the time. As investors push through the finish line, the last three months of the year tend to be the strongest with October standing out, ending higher 67% of the time. On average, Q4 has gained 5.6% since 1930, far surpassing the preceding three quarters of election years.[7] Greater clarity about the U.S. fiscal policy path serves as a potential tailwind for investors following the election.

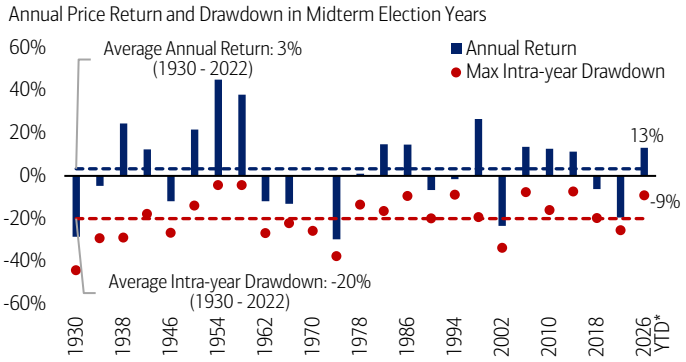
To Take Home. Volatility tends to rise during midterm years, but history suggests that reacting to short-term political uncertainty has rarely rewarded long-term investors. Over longer horizons, the data suggests Equity returns and economic strength are shaped less by election outcomes than by corporate profits, valuations, labor market conditions and capital investments.

Exhibit 2: A Look at Midterms Through Charts.

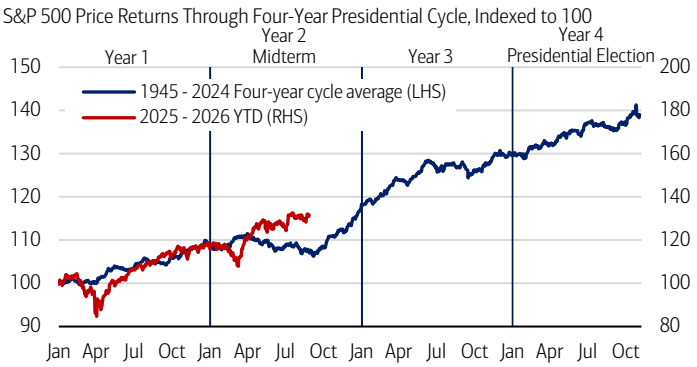
A) S&P 500 Volatility by Month.



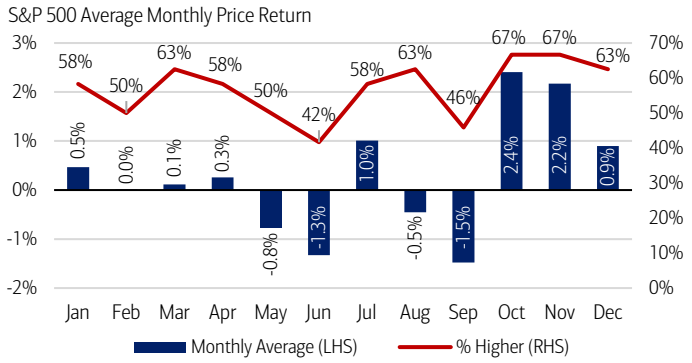
B) S&P 500 Annual Price Return by Midterm Election Year.



C) S&P 500 Price Returns Through Four-Year Presidential Cycle, Index to 100.



D) S&P 500 Monthly Performance During Midterm Election Years (1930 - 2022).



*Year-to-Date. Exhibit 2A) Source: Bloomberg. Data through December 31, 2025, as of September 22, 2026. Volatility is calculated using the standard deviation of daily S&P 500 price returns each month. Median volatility for each month is displayed on an annualized basis. Exhibit 2B) Source: Bloomberg. Data as of September 25, 2026. Price returns referenced. Exhibit 2C) Source: Bloomberg. Data as of September 25, 2026. 1945 - 2024 period through December 31, 2024. 2025 – 2026 YTD period through September 25, 2026. Exhibit 2D) Source: Bloomberg, as of September 22, 2026. Data through December 31, 2022. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

[5] BofA Global Research, Bloomberg. Data as of September 22, 2026.
[6] Chief Investment Office, Bloomberg. As of September 22, 2026. Post-war period: 1946 – 2022. Price returns referenced.
[7] Bloomberg. Data as of September 22, 2026. Price returns referenced.

What is the bond market telling us?

Christopher Hyzy, *Chief Investment Office*

We believe the bond market is telling us that the Fed is on track to meeting their dual mandate of price stability and full employment. More importantly, when examining the full yield curve the 2-year Treasury yield is currently around 4.88%, which typically is the most sensitive to the fed funds rate and tends to price in future potential policy adjustments. At the same time, the 10-year Treasury yield is currently about 5.11%. This leads us to believe that the market expects the Fed to engineer a couple of more hikes while the back end of the curve is indicating that economic growth is still healthy.

Taken together, it appears the full curve, which has clearly flattened, believes the Fed is doing its job, while supply shocks, for obvious reasons, are not leading to higher long-run inflation. The backup in long-dated yields is growth, not necessarily inflation as indicated by rising "real" yields. Therefore, we view the drift higher in yields as a more normal sign than what many have originally suggested. We continue to emphasize higher economic growth for longer, rising productivity in the medium term, supply shortages to remain in key areas within the AI space, and shocks in the energy equation. We expect the energy shocks to ultimately fade away over time, but we do not believe that growth fades anytime soon. In our view, a more normal bond market pricing in Fed moves at the short end, and growth at the long end helps financial conditions and economic growth operate in a more durable manner.

In summary, the front-end of the curve expects 3 to 4 more hikes in the next 18 months or so. This can be debated obviously based on future data especially short-term energy supply shocks. Long-end yields are drifting higher based on five main factors below, in our view.

1. Strong economic growth (both services and manufacturing)
2. Hawkish Fed
3. Debt and deficit concerns
4. Lower demand for long duration sovereign debt in general
5. Energy supply shocks

The largest weight being strong economic activity which kick starts portfolio repositioning particularly as the Fed hikes rates. The repositioning stops once demand rises again when yields reach attractive levels for the more patient longer term investment community. The supply shocks ultimately end and debt and deficit worries will likely remain, but they still take a backseat for now. Longer duration government debt is becoming more attractive each week even in the face of the concerns above. Be patient

Investment Implications

We continue to expect resilient economic growth, supported by productivity gains, AI-related investment, and a more balanced bond market that may help sustain favorable financial conditions.

Exhibit 3: The Treasury Yield Curve Prices Additional Tightening and Continued Growth.

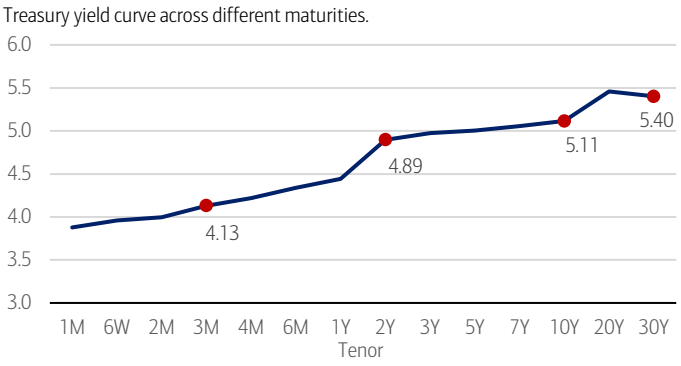
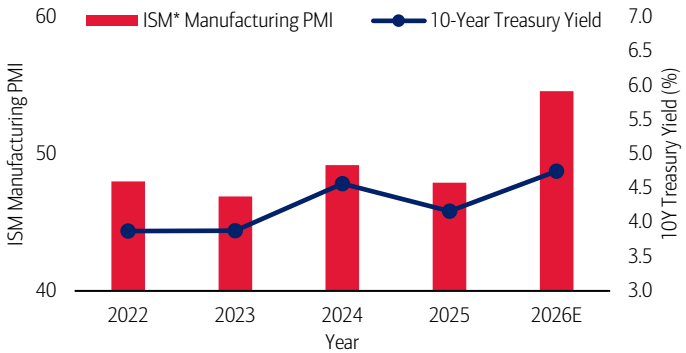


Exhibit 4: Economic Growth Has Remained Resilent Amid Higher Yields.



E=estimate. Exhibit 3) Source: Bloomberg. Data as of September 23, 2026. Exhibit 4) Source: Bloomberg. Data as of August 31, 2026. 2022-2025 are year-end *Institute for Supply Management (ISM) Manufacturing PMI data and 10-year yield data. 2026 uses latest available ISM Manufacturing PMI data from August 31, 2026 and 10-year yield data from August 31, 2026. It is not possible to invest directly in an index. Please refer to index definitions at the end of this report. **Past performance is no guarantee of future results.**

Equities

Equities	Total Return in USD (%) Current	WTD	MTD	YTD
DJIA	51,828.62	0.3	-2.4	9.1
NASDAQ	27,068.72	2.1	2.7	17.0
S&P 500	7,743.41	1.2	0.8	14.1
S&P 400 Mid Cap	3,648.57	0.0	-2.9	11.4
Russell 2000	2,837.55	-0.8	-3.9	15.3
MSCI World	4,957.96	0.9	-0.1	13.0
MSCI EAFE	3,148.63	0.2	-2.5	10.9
MSCI Emerging Markets	1,732.35	1.3	0.9	25.2

Fixed Income†

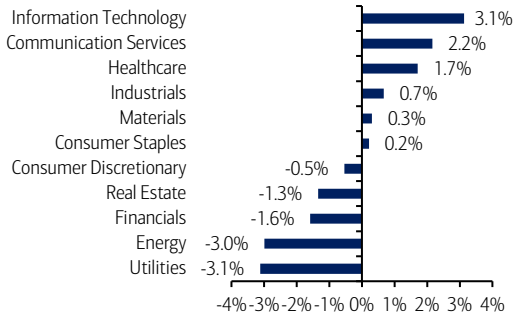
Fixed Income	Total Return in USD (%) Current	WTD	MTD	YTD
Corporate & Government	5.36	-0.80	-1.86	-2.30
Agencies	5.14	-0.39	-1.33	-0.89
Municipals	4.69	-1.81	-3.82	-3.63
U.S. Investment-Grade Credit	5.46	-0.82	-1.98	-2.28
International	5.93	-1.07	-2.05	-2.44
High Yield	8.10	-0.92	-1.84	0.80
90 Day Yield	4.17	4.07	3.83	3.63
2 Year Yield	4.85	4.74	4.34	3.47
10 Year Yield	5.16	5.00	4.75	4.17
30 Year Yield	5.49	5.33	5.24	4.84

Commodities & Currencies

Commodities	Total Return in USD (%) Current	WTD	MTD	YTD
Bloomberg Commodity	373.41	-0.7	2.4	35.2
WTI Crude $/Barrel††	92.41	-7.9	7.8	60.9
Gold Spot $/Ounce††	4284.81	-2.1	-3.4	-0.8

Currencies	Total Return in USD (%) Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.14	1.15	1.16	1.17
USD/JPY	157.28	156.88	159.74	156.71
USD/CNH	6.72	6.70	6.72	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 09/21/2026 to 09/25/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 09/25/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 9/25/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.3	3.4
Real U.S. GDP (% q/q annualized)	2.1	1.5	2.4	2.3	2.1	2.2
CPI inflation (% y/y)	2.7	3.8	3.4	3.7	3.4	2.6
Core CPI inflation (% y/y)	2.5	2.7	2.4	2.6	2.6	2.6
Unemployment rate (%)	4.3	4.3	4.2	4.2	4.2	4.1
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of September 25, 2026.
Sources: BofA Global Research; GWIM ISC as of September 25, 2026.

Asset Class Weightings (as of 9/1/2026)

Asset Class	CIO View Underweight		Neutral		Overweight
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies Private Equity Private Credit Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	CIO View Underweight		Neutral		Overweight
Industrials				▶	
Financials				▶	
Healthcare			▶		
Consumer Discretionary				◀	
Information Technology			●		
Energy			●		
Materials			●		
Utilities		●	◀		
Communication Services		●			
Real Estate		●			
Consumer Staples	●	◀			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of September 1, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

S&P 500 Index Price Return is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States. A price return index is a stock market index that tracks only the price changes and capital gains or losses of its component securities, without including dividends or cash distributions.

S&P Global Flash U.S. Composite Purchasing Managers' Index is an early monthly economic indicator that estimates overall private-sector business activity by combining manufacturing and service data.

Consumer Price Index is a key economic indicator that measures the average change over time in the prices paid by urban consumers for a market basket of everyday goods and services.

Institute for Supply Management Manufacturing Purchasing Managers' Index is a monthly economic indicator reflecting U.S. manufacturing sector health by surveying purchasing managers about business conditions.

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Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

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All data, projections and opinions are as of the date of this report and subject to change.

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Macro Strategy—*The Yen, 10-Year Yield and Iran: Bessent's Three-Front War and the Stakes for Investors:* Scott Bessent may carry the title of Treasury secretary, but these days he looks more like America's financial field marshal. His battlefield stretches from Tokyo, where he is trying to engineer a stronger Japan yen, to the U.S. Treasury market, where he is battling to keep the 10-year yield from breaking decisively above 5%, and to Tehran, where he has become the point man in the escalating U.S. campaign to squeeze Iran financially and economically.

How Scott Bessent's three-front war plays out remains to be seen. A decisive victory on all three fronts is unlikely since corralling currency and bond markets is next to impossible, while the whims of geopolitics can lay waste to the best laid plans. That said, however, the U.S. Secretary of the Treasury has signaled that he is ready to take a very proactive, pro-growth approach to his job. That's the good news. The less encouraging news stems from the inconsistencies in the overarching objectives of the Treasury secretary.

Market View—*Beyond AI's Resource Footprint, Consider its "Handprint":* Behind every Artificial Intelligence (AI)-generated response is a vast physical network of data centers, power plants, transmission lines, cooling systems, semiconductor facilities and critical-mineral supply chains. As adoption accelerates, growing demand for power, water, advanced hardware and raw materials could strain grids, raise emissions and intensify pressure on local resources. Yet the sustainability conversation should extend beyond AI's footprint to consider whether its environmental benefits can outweigh its resource demands.

Thought of the Week—*The Beauty of September:* Call it an eventful first 13 trading days of September: Brent crude re-eclipsed $100 per barrel, diesel prices surpassed $6 per gallon for the first time in history, the 10-year U.S. Treasury yield breached 5%, and the Federal Reserve (Fed) joined the European Central Bank (ECB) and the Bank of Japan (BoJ) in hiking rates for the first time since July 2023. Through it all, the S&P 500 has shed 1.4% since the start of the month. It's not unexpected that September would be choppy for U.S. Equities, especially in a midterm election year. The good news is that this has historically been an attractive entry point. Since 1950, the S&P 500 has never been negative in the six or twelve months post-midterm election, boasting average returns of 13.8% and 15.8%, respectively. Volatility is likely to rise into October before moderating post-election. A correction amid a strong fundamental economic backdrop would be a potential buying opportunity in our view.

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MACRO STRATEGY ▶

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Portfolio Considerations

We view recent volatility as a rolling correction rather than the end of the cycle. We favor diversified Equity exposure, with potential opportunities extending beyond Growth to Value, Small- and Mid-caps, Non-U.S. Equities (especially Emerging Markets), dividend-focused and thematic strategies.

We favor adjusting portfolios toward strategic durations given attractive elevated nominal and real yields, and see value in high-quality bonds, particularly longer-dated municipal bonds.

Consider broader portfolio diversification with potential opportunities across industrial metals, energy, Real/Tangible Assets, Hedge Funds, private markets and global strategies to capture themes from AI, reindustrialization, infrastructure growth and market dispersion.

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MACRO STRATEGY

The Yen, 10-Year Yield and Iran: Bessent's Three-Front War and the Stakes for Investors

Joseph Quinlan, ***Managing Director and Head of Market Strategy***

Scott Bessent may carry the title of Treasury Secretary, but these days he looks more like America's financial field marshal. His battlefield stretches from Tokyo, where he is trying to engineer a stronger Japan yen; to the U.S. Treasury market, where he is battling to keep the 10-year yield from breaking decisively above 5%; and Tehran, where he has become the point man in the escalating U.S. campaign to squeeze Iran financially and economically.

Make no mistake about it: Secretary Bessent and the Treasury Department are increasingly an instrument of American economic statecraft, charged not simply with financing the government and overseeing the financial system, but with managing markets, currencies and geopolitical adversaries simultaneously. Welcome to the new age of financial warfare.

Front One: Defending the Yen. The first front unfolded over the summer when Secretary Bessent and the BoJ stealthily intervened in support of the yen, which had fallen to a near 40-year low against the dollar by late July. To arrest the yen's decline, the U.S. Treasury sold euros instead of dollars in support of the yen, while pushing the BoJ to make use of the Fed's emergency repo facilities. In further support of the yen, the BoJ did what Bessent and the markets have been pining for, raising its official rate by 25 basis points (bps) to 1.25%.

Since intervening in the foreign exchange markets, the yen has appreciated by nearly 5% against the U.S. dollar, alleviating concerns of a disorderly unwind of the yen and giving Bessent—thus far—an important victory. Defending the yen, of course, isn't simply about Japan—it's about the U.S. and the need for foreign capital inflows.

Japan is one of America's largest foreign creditors. A persistently weak yen creates pressure on Tokyo to defend its currency, potentially by selling some of its enormous holdings of foreign assets, including U.S. Treasurys. That prospect didn't sit well with the Treasury secretary. At precisely the moment Washington needs foreign capital to finance its enormous fiscal deficits, the last thing Mr. Bessent wants is one of America's largest creditors to become a significant seller of Treasury securities. Hence, the battle to backstop Japan's currency.

Front Two: Defending the 10-Year Bond. Mr. Bessent has had less success on the second front: the U.S. bond market. While the 10-year Treasury yield slipped slightly following last week's decision by the Fed to boost the fed funds rate by 25 bps, the benchmark interest rate is up roughly 85 bps since the start of the year. Stubbornly high inflation, elevated oil prices, enormous government borrowing requirements and growing investor anxiety over America's fiscal trajectory have all converged and conspired to keep the 10-year yield closer to 5% than 4%.

Field Marshal Bessent is very aware that the 10-year Treasury is the gravitational center of global finance—and that mortgage rates, corporate borrowing costs, equity valuations and the government's own interest bill all take their cue from it. A sustained move materially above 5% would tighten financial conditions across the American economy, potentially threaten the Equity bull market, and pile more pressure on the Republican Party.

To prevent this from happening, the Treasury has expanded its bond-buyback operations, including purchases of longer-dated government securities, in an effort to improve liquidity and relieve some pressure on the market, while shifting new government debt issuance into short-term bills. Yet the bond vigilantes have so far proved harder to intimidate than currency traders. Even after Treasury announced additional purchases, yields continued climbing before receiving some relief from the latest hawkish move from the Fed.

Over the medium term, if investors believe Washington is borrowing too much, inflation is running too hot or the supply of bonds is overwhelming global demand, they will demand a higher yield to own America's debt. This battle is far from over.

Front Three: Squeezing Tehran. Then there is Iran, where Mr. Bessent is wielding an entirely different weapon: America's control over the plumbing of global finance. In practice

Investment Implications

We expect continued investor support and preference for real hard assets, and a bias towards a plethora of commodities and industrial plays.

this means the Treasury can make a foreign bank choose between doing business with Iran or the U.S. It can freeze assets, blacklist companies, restrict transactions and pressure allies to close financial escape routes.

Under "Operation Economic Outcast," billed as economic "D-Day," Treasury has intensified sanctions against Iranian entities and financial networks, including recent actions against Iran aviation and additional efforts aimed at banks and organizations facilitating Tehran's international transactions. Mr. Bessent has described the objective in unusually stark terms: to "economically asphyxiate" the Iran regime. This is economic warfare in its purest form, but whether it works remains to be seen.

"Asphyxiating" an economy takes time and patience—and international cooperation and coordination. It means closing multiple global loopholes of third-party entities still willing and able to do business with Iran—look no further than Russian banks. In addition, squeezing a major oil producer runs the risk of aggravating global oil supplies, keeping oil prices elevated. Higher energy costs, in turn, feed right back into the U.S. inflation outlook the Fed is trying to tame and keeps the bond vigilantes on guard and ready to push back. Not unlike the battle to suppress U.S. bond yields, the battle to bring Iran to heel is going to be a long one.

How does it all end? How Scott Bessent's three-front war plays out remains to be seen. A decisive victory on all three fronts is unlikely since corralling currency and bond markets is next to impossible, while the whims of geopolitics can lay waste to the best-laid plans.

That said, however, the U.S. Treasury Secretary has signaled that he is ready to take a very proactive, pro-growth approach to his job. That's the good news. The less encouraging news stems from the inconsistencies in the overarching objectives of the Treasury secretary.

Mr. Bessent can pressure Iran because access to the dollar-based financial system remains extraordinarily valuable. He can intervene in foreign-exchange markets because America's financial resources give Washington enormous clout. And he can attempt to influence the Treasury market because U.S. government securities remain the foundation of the global financial system. But therein lies the contradiction.

The U.S. is simultaneously weaponizing the financial system abroad while becoming more dependent on that same financial system at home. Washington wants the world to fear losing access to dollars while also asking the world to lend it trillions of dollars. It wants to use Treasury and dollar dominance as instruments of geopolitical coercion while running fiscal deficits that require foreigners to continue believing deeply in those very assets.

The more Washington borrows, the more sensitive it becomes to bond-market discipline. The more aggressively it weaponizes access to the dollar, the greater the incentive for adversaries to seek alternatives. And the more the Treasury secretary intervenes directly in markets, the more investors may begin wondering where economic policy ends and market management begins.

Exhibit 1: Scott Bessent's Three-Front War.

The Front	The Problem	Bessent's Objective	The Weapon
The Yen	Weak yen/currency instability	Stronger yen	Foreign Exchange intervention, policy coordination, pressure on Japan
The Yield	Rising 10-year Treasury yield	Lower/contained yields	Debt-management strategy, buybacks, issuance policy
Iran	Tehran's access to global finance	Maximum financial pressure	Sanctions, asset restrictions, dollar-system leverage

Source: Chief Investment Office.

For the moment, Mr. Bessent is fighting on three fronts. He wants a stronger yen, a lower 10-year Treasury yield and an economically isolated Iran. Success on any one front would be difficult. Achieving all three simultaneously will require considerable skill—and perhaps a little luck.

Beyond AI's Resource Footprint, Consider its "Handprint"

Anna Potts, *CFA, Vice President and Investment Strategist*

Since the launch of ChatGPT, investors have celebrated AI's potential while growing more concerned about its resource footprint: Behind every AI-generated response is a physical network of data centers, power plants, transmission lines, cooling systems, semiconductor facilities and critical-mineral supply chains. No doubt, the AI revolution has environmental costs. As adoption accelerates, growing demand for power, water, advanced hardware and raw materials could strain grids, raise emissions and intensify pressure on local resources. Yet the sustainability conversation should extend beyond AI's footprint to consider whether its environmental benefits can outweigh its resource demands.

AI's footprint is large, growing and certainly not trivial. AI increases electricity demand, adds large, concentrated loads to already constrained grids, and may slow the retirement of polluting energy assets. U.S. data centers could account for 20% of national electricity consumption by 2035, up from 5.9% today, with power needs reaching 194 gigawatts (comparable to the electricity demand of more than 150 million homes).[1] Cooling, power generation and semiconductor manufacturing require water; each new megawatt also embeds substantial copper, aluminum and other materials; and short hardware cycles can increase electronic waste. Use varies sharply by workload: Complex reasoning and agentic tasks can consume many times more energy than a simple text prompt. The effects are already reaching consumers and communities. Wholesale power costs on PJM—the largest U.S. grid—rose 76% year-over-year in Q1 2026, while data-center load included in its previous two capacity auctions added an estimated $13.8 billion to customer bills.[2] Communities are mobilizing around their concerns, including affordability, water use and air pollution: Q1 2026 produced the largest single quarterly concentration of delayed or blocked data-center projects on record.[3] Opposition is therefore becoming a development constraint to be considered.

Context, caveats and comparisons. Headlines often tell only part of the story. Globally, data centers account for about 1% of electricity use,[4] modest relative to many industries, and 9% of estimated global 2025 to 2030 electricity growth.[5] A typical text prompt on one major company's AI model[6] uses 0.24 watt-hours of electricity, emits 0.03 grams of CO_2 and consumes 0.26 milliliters of water—roughly 617,000 prompts match the emissions from producing and cooking one sirloin steak, while 262,000 match the water used in an eight-minute shower.[7] Still, billions of interactions, more complex workloads and growth in resource-constrained regions can create meaningful cumulative impacts. The most meaningful assessment therefore depends on workload, utilization, location, grid mix, cooling design, local water availability and who bears the cost of supporting infrastructure, not one universal number.

AI's Handprint. While much remains to be seen, AI's environmental "handprint"—the benefits it can enable—could potentially prove larger than its direct footprint in some areas. Across the energy system, AI can help utilities better match electricity supply and demand, balance grids, optimize storage and reduce wasted energy. Data centers already account for more than 30% of corporate renewable power-purchase agreements, helping create long-dated demand for clean generation.[8] Beyond power, AI can improve precision agriculture, streamline transportation and inventories, and support product

Investment Implications

Responsible AI growth requires investment in power generation, grid modernization, energy storage, advanced cooling, water treatment and reuse, efficient computing, and materials recovery and recycling. Diversified environmental and thematic strategies may offer exposure to these physical enablers while reducing reliance on benchmark names.

[1] BloombergNEF, Data Centers on Track to Suck Up a Fifth of US Power Use by 2035, July 21, 2026.
[2] BloombergNEF, AI Buildout Drives 76% Power Bill Jump on Largest US Grid, May 14, 2026.
[3] Data Center Watch, Q1 2026 Insights Report, May 2026.
[4] Pictet Asset Management, "Sizing AI's Environmental Footprint," July 2026.
[5] International Energy Agency, as of January 2026.
[6] Google Cloud, Amin Vahdat and Jeff Dean, "How Much Energy Does Google's AI Use? We Did the Math," August 21, 2025.
[7] U.S. Environmental Protection Agency, WaterSense, May 2026.
[8] Pictet Asset Management, "Sizing AI's Environmental Footprint," July 2026.

design, predictive maintenance, waste sorting and recycling. AI is transforming climate risk management by using satellite imagery, weather data and predictive analytics to forecast floods, wildfires and extreme weather events, enabling governments, companies, and investors to anticipate risks and allocate capital more effectively (Exhibit 2). These gains are not automatic: they depend on innovation, adoption, and whether efficiency improvements reduce total resource use rather than simply stimulate more demand. All industries are faced with the opportunity to responsibly use AI to make operations more efficient, and much is yet to be discovered.

Exhibit 2: From Footprint to Handprint: Select AI Environmental Applications.

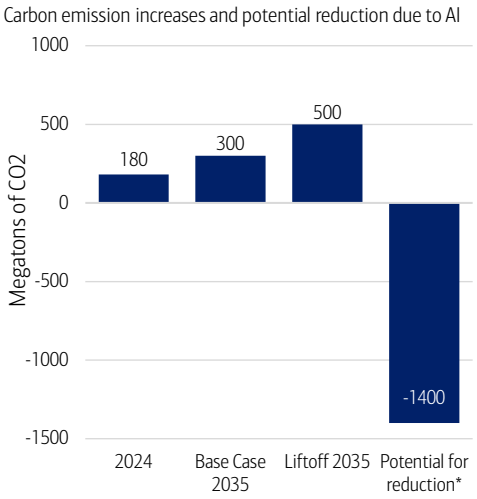
ELECTRONS	CLIMATE RISK	WATER	MATERIALS
• Save over $100 billion annually through grid optimization, forecasting and operational efficiency improvements in power plants. • Scaled applications could avoid up to 1.5 Gt of CO_2 by 2035, about five times projected data-center emissions. (See Exhibit 3.) • Reduce contrail formation by 62% among flights that successfully followed AI-generated avoidance plans in a 2,400-flight transatlantic trial. • Reduce vehicle stops by up to 30% and intersection emissions by up to 10% through AI-optimized traffic signals.	• Identify properties exposed to flood or wildfire risk. • Assess supply chain vulnerabilities. • Model physical risks to infrastructure and real assets. • Price insurance and credit risk more accurately. • Evaluate climate adaptation opportunities.	• Reduce water, fertilizer and chemical inputs while helping farmers grow up to 30% more food. • Improve leak detection and water-system management. • Use wastewater recycling, rainwater harvesting and closed-loop cooling which can reduce freshwater demand by 50-70%.	• Use generative design and digital twins to reduce material intensity before production. • Improve maintenance, inventories, waste sorting and recycling: AI-guided sorting systems can process 80 items per minute at up to 99% accuracy—more than twice the speed of human sorting.

Sources: Pictet Asset Management, "Sizing AI's Environmental Footprint," July 2026; BofA Global Research, "Data Centers: Power-Hungry, Water-Thirsty, Metals-Needy, $5tn Opportunity," April 21, 2026; BloombergNEF, "Data Centers on Track to Suck Up a Fifth of US Power Use by 2035," July 21, 2026; BloombergNEF, "AI Buildout Drives 76% Power Bill Jump on Largest US Grid," May 14, 2026; BloombergNEF, "AI's Environmental Impact Per Task Balloons With More Complexity," September 3, 2026.; Google Research, March 2026.; US Plastics Pact.

AI's potential handprint becomes more tangible in transportation, agriculture and climate resilience. In aviation, for example, AI can combine weather forecasts, flight paths and atmospheric conditions to reroute aircraft around regions where warming contrails are most likely to form—reducing climate impact without requiring a new aircraft or fuel system. On farms, machine learning can interpret aerial imagery and field-level sensor data to identify crop stress early, directing water, fertilizer and chemicals to where they are needed and helping growers improve yields while reducing inputs. AI can also strengthen climate preparedness by analyzing satellite imagery, weather data and infrastructure exposure to detect deforestation, anticipate floods or wildfires, and identify communities, facilities and supply chains most vulnerable to physical hazards. These are just a few examples that illustrate how AI's value can extend beyond incremental efficiency gains to reshape real-world decisions.

Investment Considerations. The challenges created by AI also create potential investment opportunities. Companies are investing in efficient chips, closed-loop cooling, reclaimed-water systems, energy storage, grid upgrades and cleaner firm power to reduce resource intensity and improve reliability. Professionally managed environmental and thematic strategies can target these "picks and shovels" of the digital buildout, alongside businesses using AI to improve efficiency across energy management, water infrastructure, environmental services, waste management and compute. A disciplined thematic approach can diversify exposure beyond the largest benchmark constituents while positioning for structural growth in power demand, grid modernization and resource efficiency. Focusing solely on AI's footprint risks overlooking both the companies helping it scale more efficiently and the broader environmental benefits its handprint may enable.

Exhibit 3: AI Drives Up Carbon Dioxide Emissions, But Applications of it Could Offset.



Source: International Energy Agency, Energy and AI, April 2025. *References IEA's Widespread Adoption Case, which explores the impact that known AI applications could have at the sectoral level by 2035, assuming the widespread adoption of the application or technology.

The Beauty of September

Ariana Chiu, *Assistant Vice President and Investment Strategist*

Call it an eventful first 13 trading days of September: Brent crude re-eclipsed $100 per barrel, diesel prices surpassed $6 per gallon for the first time in history, the 10-year U.S. Treasury yield breached 5%,[9] and the Fed joined the ECB and the BoJ in hiking rates for the first time since July 2023. Through it all, the S&P 500 has shed 1.4% since the start of the month, while its equal-weighted counterpart is down by 3.3%.

It's not all too unexpected that September would be a choppy month for U.S. Equities. Historical seasonal patterns suggest as much. Since 1928, the average S&P 500 return in September has come out to -1.1%,[10] not only the worst month of the year on average but also the only month when the benchmark has ended lower more often than it's ended higher. Similar weakness has been seen in midterm election years, with the S&P 500 producing an average September return of -0.8% since 1950.[10]

The good news is that this has historically been an attractive entry point for U.S. Equity investors. Call it the beauty of September: In contrast to September's average decline, average returns improve in October (+3.0%), November (+2.7%), and December (+0.8%). Indeed, the S&P 500 has never been negative in the six or 12 months post-midterm election since 1950 (Exhibit 4A), boasting an impressive average return of 13.8% and 15.8% over those respective periods.[10]

Looking ahead to the coming weeks, we have little reason to believe that 2026 will diverge from the historical trend. Volatility is likely to rise into October before moderating post-election, in line with what's typical in the months surrounding the midterms (Exhibit 4B). A quieter corporate calendar ahead of Q3 earnings means investor focus will remain on incoming macro data, the path of energy prices, and the Fed's policy path.

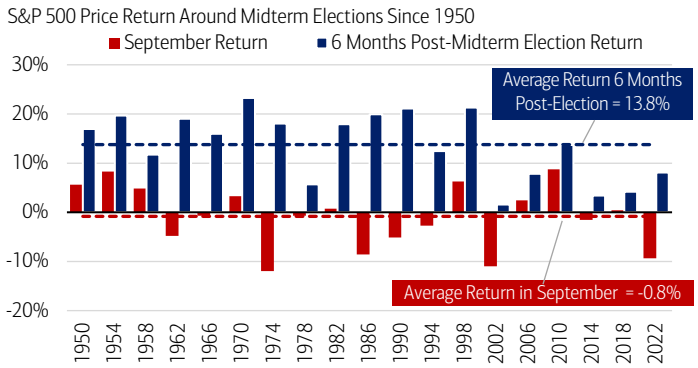
In the meantime, while the S&P 500 still stands just 2.7% below its mid-August high, churn beneath the surface already appears to be taking place. Just 38% of S&P 500 members now stand above their 50-day moving average versus 70% a mere month ago.[9] Far from worrisome, a correction in the near term in the context of a strong fundamental economic backdrop would be a potential buying opportunity in our view.

Investment Implications

With growth continuing to suggest a strong earnings backdrop, we remain overweight U.S. Equities and view possible episodic volatility and weakness in the coming months as a potential buying opportunity in portfolios.

Exhibit 4: History Tells Us to Look Beyond September.

A) Look Past September: S&P 500 Returns Tend to Improve Post-Midterm Election.



B) Implied Equity Volatility Tends to Peak Near Midterm Election Day.

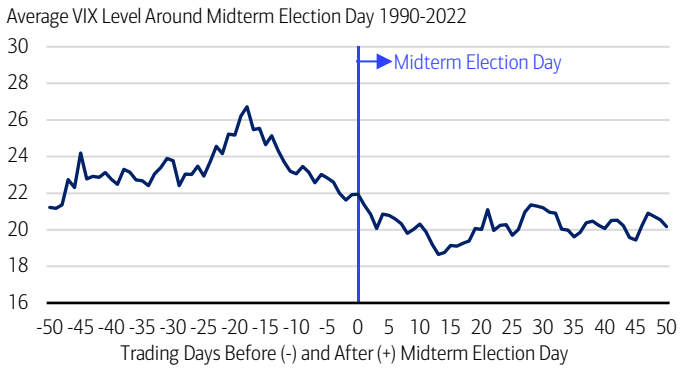


Exhibit 4A): Source: Bloomberg. 6 month period defined as 125 trading days after respective midterm election date. Data through 2022. Exhibit 4B): Source: Bloomberg. Refers to average expected volatility of the S&P 500 over the next 30 days. Data from 1990-2022. **Past performance is no guarantee of future results.** Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Please refer to index definitions at the end of this report.

[9] Bloomberg. Data as of September 18, 2026.
[10] Refers to data through 2022.

Equities

Equities	Total Return in USD (%) Current	WTD	MTD	YTD
DJIA	51,682.64	-1.6	-2.7	8.8
NASDAQ	26,522.54	0.7	0.6	14.6
S&P 500	7,650.50	-0.1	-0.4	12.7
S&P 400 Mid Cap	3,650.73	-1.7	-2.8	11.5
Russell 2000	2,860.40	-1.5	-3.2	16.2
MSCI World	4,913.98	-0.5	-1.0	11.9
MSCI EAFE	3,142.97	-1.6	-2.7	10.7
MSCI Emerging Markets	1,710.85	-0.6	-0.4	23.6

Fixed Income†

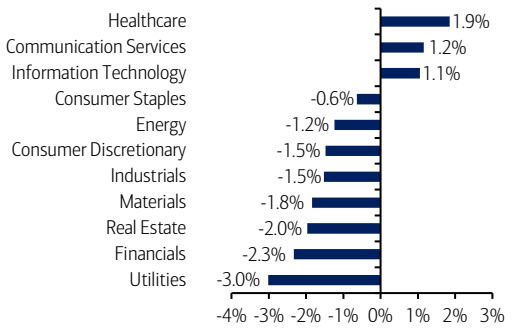
Fixed Income	Total Return in USD (%) Current	WTD	MTD	YTD
Corporate & Government	5.23	-0.03	-1.07	-1.52
Agencies	5.02	-0.22	-0.94	-0.50
Municipals	4.37	-0.31	-2.05	-1.86
U.S. Investment-Grade Credit	5.32	-0.03	-1.16	-1.46
International	5.77	0.13	-0.99	-1.39
High Yield	7.73	-0.28	-0.93	1.73
90 Day Yield	4.07	4.00	3.83	3.63
2 Year Yield	4.74	4.63	4.34	3.47
10 Year Yield	5.00	4.97	4.75	4.17
30 Year Yield	5.33	5.35	5.24	4.84

Commodities & Currencies

Commodities	Total Return in USD (%) Current	WTD	MTD	YTD
Bloomberg Commodity	376.01	0.2	3.1	36.1
WTI Crude $/Barrel††	100.30	0.2	17.0	74.7
Gold Spot $/Ounce††	4378.63	0.7	-1.3	1.4

Currencies	Total Return in USD (%) Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.15	1.16	1.16	1.17
USD/JPY	156.88	153.61	159.74	156.71
USD/CNH	6.70	6.71	6.72	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 09/14/2026 to 09/18/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 09/18/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 9/18/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.3	3.4
Real U.S. GDP (% q/q annualized)	2.1	1.5	2.4	2.3	2.1	2.2
CPI inflation (% y/y)	2.7	3.8	3.4	3.6	3.4	2.6
Core CPI inflation (% y/y)	2.5	2.7	2.4	2.6	2.6	2.6
Unemployment rate (%)	4.3	4.3	4.2	4.2	4.2	4.1
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of September 18, 2026.
Sources: BofA Global Research; GWIM ISC as of September 18, 2026.

Asset Class Weightings (as of 9/1/2026)

Asset Class	CIO View Underweight		Neutral		Overweight
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	CIO View Underweight		Neutral		Overweight
Industrials				▶	●
Financials				▶	●
Healthcare			▶	●	
Consumer Discretionary			●	◀	
Information Technology			●		
Energy			●		
Materials			●		
Utilities		●	◀		
Communication Services		●			
Real Estate		●			
Consumer Staples	●	◀			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of September 1, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

S&P 500 Equal Weighted Index gives every company in the S&P 500 the exact same weight of 0.2% during quarterly rebalances.

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Alternative investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

September 14, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Superintelligence and Superabundance in the Next Decade:* Rapid advances in Artificial Intelligence (AI) have prompted prominent architects of the new economy to conclude the Singularity is arriving ahead of schedule as signs of its effects proliferate in the multitude of new AI models running in the increasing number of data centers driving one of the biggest investment booms in U.S. history. Superintelligence that surpasses collective human intelligence has long been one of the predictions of futurists analyzing the implications of the Singularity. Superabundance is one of the results of Superintelligence predicted by those who have written about the consequences of this major acceleration in technological innovation. The early arrival of these radical forces for change poses imminent challenges for society and investors that will shape the next decade in critical ways.

In particular, the heightened uncertainty about how this new era plays out increases the utility of a well-diversified approach to wealth management in our view.

Market View—*Elevated Debt Supply Is Testing the Market's Appetite:* The recent rise in Treasury yields reflects a confluence of factors, including Federal Reserve (Fed) policy uncertainty, deteriorating fiscal dynamics, resilient economic growth, persistent inflation concerns and a record wave of debt issuance from both the U.S. Treasury and corporate borrowers, particularly in the long end of the curve. Importantly, we view this as a period of market adjustment rather than a cause for alarm.

Episodes of debt pressures can be a natural consequence of elevated supply, in addition to other external factors and could be resolved through higher yields that help balance supply and demand. While interest rate volatility may remain elevated and long-term yields could settle at structurally higher levels, today's combination of attractive nominal and real yields presents a potential opportunity for investors to extend beyond cash and short-duration holdings and move closer to strategic duration targets.

The Ticker Tape—*Top Questions Answered Directly by Our Chief Investment Officer (CIO).*

- What are the markets actually telling us?

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Macro Strategy Team

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Fixed Income Strategy Team

Christopher Hyzy
Chief Investment Officer

MACRO STRATEGY ▶

MARKET VIEW ▶

THE TICKER TAPE ▶

MARKETS IN REVIEW ▶

Portfolio Considerations

We view recent volatility as a rolling correction rather than the end of the cycle. We favor diversified Equity exposure, with potential opportunities extending beyond Growth to Value, Small- and Mid-caps, Non-U.S. Equities (especially Emerging Markets), dividend-focused and thematic strategies.

We favor adjusting portfolios toward strategic durations given attractive elevated nominal and real yields, and see value in high-quality bonds, particularly longer-dated municipal bonds.

Consider broader portfolio diversification with potential opportunities across industrial metals, energy, Real/Tangible Assets, Hedge Funds, private markets and global strategies to capture themes from AI, reindustrialization, infrastructure growth and market dispersion.

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Superintelligence and Superabundance in the Next Decade

Chief Investment Office, *Macro Strategy Team*

While some academics have claimed the Singularity is still off in the distant future, or even unlikely at all, those on the front lines of AI model development have recently asserted that it has already begun. For example, Elon Musk has pointed to recent issues with AI models going outside their proscribed limits, including hacking external systems and completing previously unsolved math problems. Over a year ago, Sam Altman wrote, "We are past the event horizon; the takeoff has started. Humanity is close to building superintelligence..." In short, the rapid evolution of these models has convinced knowledgeable observers that the Singularity has begun.

Superintelligence is the primary driver of the Singularity as exponential advances in AI ultimately create an artificial Superintelligence that is much smarter and faster than the collective intelligence of humanity. As such, it can solve practical problems that remain unsolved by humans and do it in a timely fashion. Superabundance is the logical implication of Superintelligence as it works to create a world where economic goods, services and energy are essentially free because of the omniscience implied by the most efficient processing of unlimited information by superintelligent models. In essence, Superintelligence could mimic the Creation.

Some aspects of Superabundance include automated production of desired output that eliminates most physical labor, clean energy and synthetic materials that eliminate resource scarcity, and increased longevity as Superintelligence is applied to maintaining physical health via, for example, synthetic organ replacement and personalized illness treatments. Obviously, Superabundance pulls the rug out from under traditional economics, which is the study of how scarce resources are allocated. While the "scarcity" vanishes in this new world, the allocation issue remains and is likely to become the focus of political debate. In particular, the question of how jobs and incomes fit into a superabundant world is likely to become a bigger and bigger issue. The trend of technology replacing more and more of the labor share of income is already decades old and dates back to the beginnings of digital technology. That trend has picked up speed with the increasing profit share of output the new technologies created. The ratio of income to the number of workers is orders of magnitude higher for the big new technology companies compared to the old economy companies of the past. This means the owners of capital (shareholders) are receiving a bigger share of the economic pie as high-margin, high-productivity companies based in the new technology become a bigger part of the economy. This trend is accelerating. That is a direct implication of the movement toward and through the Singularity.

It means the issue of income inequality, which has always been on society's radar screen, will become bigger in the years ahead unless there are wise policies to share the superabundance of the near future. Some countries are better prepared for this future than others. Norway, for example, has built a sovereign wealth fund (SWF) over the past 25 years that represents a substantial share of capital income for each of its citizens. In the U.S., with its widespread equity culture, thanks to Individual Retirement Accounts and 401K plans, capital income is more widely distributed compared to Europe with its much more debt-based capital markets. In any event, widespread equity ownership is one way to deal with a superabundant economy where AI has significantly reduced the labor share of income.

Demographics add to the natural evolution from labor income to capital income as societies become wealthier. Aging societies of retirees by definition depend on capital income more than labor income. This transition of the economy to higher margins and faster earnings growth is the fortunate accompaniment to the need for more income from capital as societies become older. The longevity trend naturally accelerates this process, which is the logical result of technological progress raising productivity and living standards. People live longer in wealthy societies, as subsistence constraints on life spans diminish while lifestyle and mental health constraints become more the issue. How lifestyles and mental health evolve in a world where work becomes less necessary is already showing signs of their increased importance for the future of public health.

The current accelerating profits cycle reflects this impact of new technology on the relative returns to labor and capital. The trend so far has been relatively slow compared to what's coming if Superintelligence and Superabundance are the outcomes the Singularity promises as increasingly seems likely. Because much financial analysis relies on past cycles the accelerating

Investment Implications

Rapid innovation, political upheaval and increasing creative destruction raise the difficulty of valuing longer duration assets as we saw earlier this year in the software space. Higher-risk premia are a likely result. On balance, this favors Value-oriented assets over Growth. Higher real yields in a strong capital spending environment reinforce this preference.

profits and rising margins of the current economy have naturally focused attention on what happens when conditions revert to the mean of lower margins and more historically normal profit growth. Looked at through this lens, Equities appear overvalued and destined to correct bubble-like conditions. The Singularity, however, implies "this time is different," the four most dangerous words in investing. Yet, the slowly evolving shift toward capital income already under way is an early warning sign of bigger things to come as these trends are turbo-charged to warp speed while the economy passes through the Singularity. Seen this way, a super-cycle in profits, margins and stock values seems logical.

A revamping of the social safety net to address the conditions implied by Superabundance is already a hot topic in Silicon Valley. Various proposals for a universal basic income (UBI) are being bandied about. Typically, UBI refers to the government giving everyone an income sufficient to meet some living standard. This automatically implies a big role for government in the new economy. Given the fourth-turning breakdown in the political process and governance, alternatives that avoid the government sector might also be considered. For example, another implication of the Singularity is an accelerating accumulation of wealth fueling a growing supply of altruistic and philanthropic potential that arguably could be administered more efficiently by the private sector than the government where widespread allegations of corrupt administration at all levels have proliferated since the pandemic. Given the growing wealth pie and the diversity of social priorities among its owners addressing more social needs through philanthropy is a likely option for the superabundant economy. In any event, the relative roles of government and the private sector are necessarily an issue to be hashed out in this revolutionary time.

More glimmers of the UBI-like movements have popped up recently. As mentioned, Norway's SWF is an example of how a well-administered government has been preparing for this future. In the U.S. government sponsored tax-advantaged savings accounts from birth have been instituted with private donations being added to the program. Governments, including the U.S., have increasingly been buying stakes in private investments for various purposes with the result that the focus solely on sovereign debt can be a misleading indicator of fiscal fragility.

Japan is a significant example of the difference between gross government debt and net government debt after subtracting government owned assets. Its gross debt is around 279% of its gross domestic product (GDP) which is much higher than any other major economy. However, Japan government assets total around 192% of GDP, including domestic and foreign Equities, bonds, and loans. As a result, its net debt is less than 100% of GDP and more in line with other major economies. As one of the most aged societies in the world, Japan points the way toward how societies can cope with longevity. Government ownership of a broad array of higher yielding global assets funded with low sovereign debt interest rates appears to be a path the U.S. Treasury is also starting to pursue in managing its debt burden.

The main risks to the uptopian promise of Superabundance are the dystopian possibilities that would follow from poor social decision-making. Around the world, different governments will follow different approaches to navigating the unprecedented challenges posed by the Singularity. As the U.S. celebrates its 250-year anniversary, it is in the midst of its fourth "fourth turning." These are the intense political upheaval periods that demographers and historians have documented in every fourth generation. The Revolutionary War, the Civil War, and the Great Depression and World War II mark the first three "fourth turnings." The Singularity is a major marker for the current fourth turning.

The relative success of the U.S. in transitioning through the previous major turning points in history provides hope for a utopian rather than a dystopian outcome. Other countries have not transited these challenges so well for such an extended period which helps explain how the U.S. has become the most prosperous country on earth. Nevertheless, past performance is no guarantee of future success. As always, each generation faces new challenges to overcome, or not.

For investors, the Singularity seems to be behind an unusually strong earnings cycle that could potentially last much longer than past history would suggest. That's positive for Equities and risk assets in general. The extra risks associated with this rapid transformation argue for well diversified holdings as creative destruction on steroids seems a plausible outcome in a world of warp speed change.

MARKET VIEW

Elevated Debt Supply Is Testing the Market's Appetite

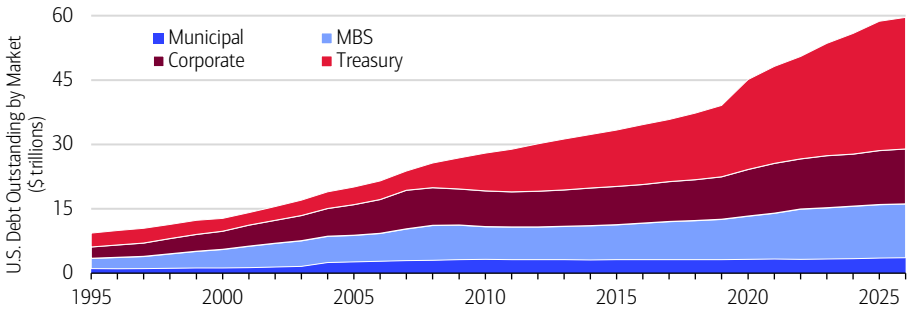
Chief Investment Office, *Fixed Income Strategy Team*

For much of the past two decades, rising debt levels appeared to carry few consequences. Federal deficits expanded and corporate borrowing increased, yet Treasury yields generally trended lower and credit spreads stayed remarkably tame. Today, the backdrop may be changing.

Federal borrowing needs continue to grow as deficit spending remains elevated. Net interest expense has surpassed $1 trillion annually and now rivals total U.S. defense spending. On this front there appears no end in sight as the Congressional Budget Office projects that the fiscal 2026 shortfall will widen to roughly $2.1 trillion. Investors are increasingly focused on not only the level of debt outstanding, but also the pace at which new debt is being issued—with some questioning about the sustainability of this situation over the longer term.

This phenomenon is not limited to Treasurys, as the issuance glut extends to corporate debt. Investment-grade (IG) corporate issuance is running roughly 40% above last year and is on pace for a record year.[1] While demand for Fixed Income remains healthy, the sheer volume of new debt being brought to market is beginning to test investor capacity, particularly at the long end of the Treasury curve and within certain sectors.

Exhibit 1: Low Yields Post-2008/2009 GFC* Have Fueled a Borrowing Binge.



*Global Financial Crisis. **Mortgage-backed Securities. Corporate debt includes U.S. domestic financial and nonfinancial issues and excludes foreign issuers. Excludes interfund transfers. Source: Federal Reserve Board. Data as of year-end through 2026; 2026 reflects the first quarter.

Hyperscalers Are Competing for Long-Duration Capital. A significant driver of the surge in corporate issuance has been the hyperscalers. The largest technology companies are financing an unprecedented wave of AI-related capital spending, leading to nearly $280 billion of debt issuance year-to-date.[2] Many of these issuers carry high credit ratings and have ramped up issuance of longer-maturity bonds. As a result, they are increasingly competing with long-dated Treasurys for the same pool of institutional capital, including insurance companies, pension funds, sovereign wealth funds and duration-oriented Fixed Income investors—creating a crowding-out effect amongst high-quality Fixed Income.

Fortunately, this is a case of pressure, not a credit crisis. Recent weakness in long-dated Treasurys reflects a classic supply-and-demand imbalance and importantly is not a solvency crisis for the U.S. government or high-quality hyperscalers. Investors are being asked to absorb a growing volume of net new issuance from both the U.S. Treasury and corporate America at the same time.

Debt Pressure and a Normalization, Not a Fiscal Reckoning. The rise in long-end yields during August reflects this dynamic. The 30-year Treasury yield moved above 5.3%, reaching levels not seen since 2007. Fiscal concerns likely played a role, but we

Investment Implications

The recent rise in Treasury yields reflects a collision of fiscal concerns, resilient growth, persistent inflation, and record debt issuance from both the Treasury and corporate borrowers. While this has created periodic bouts of market pressures, we view the recent move as a normalization process, not a crisis of confidence. Attractive real and nominal yields reinforce our view that investors should look beyond cash and short-duration assets and move closer to strategic duration target.

[1] Source: Bloomberg as of September 8, 2026.

[2] Source: Bloomberg as of September 9, 2026.

believe heavy supply, sticky inflation, reduced Fed demand and increased competition for investor capital were equally important contributors.

And importantly, the market's adjustment mechanism is already working. Higher Treasury yields and somewhat wider credit spreads are attracting buyers and helping clear the growing supply of bonds. This is a natural normalization and is how markets restore equilibrium.

Recent Treasury auctions continue to attract demand consistent with historical norms, and investor appetite for new IG issuance has remained robust. These are not characteristics typically associated with a loss of confidence in U.S., or corporate, creditworthiness.

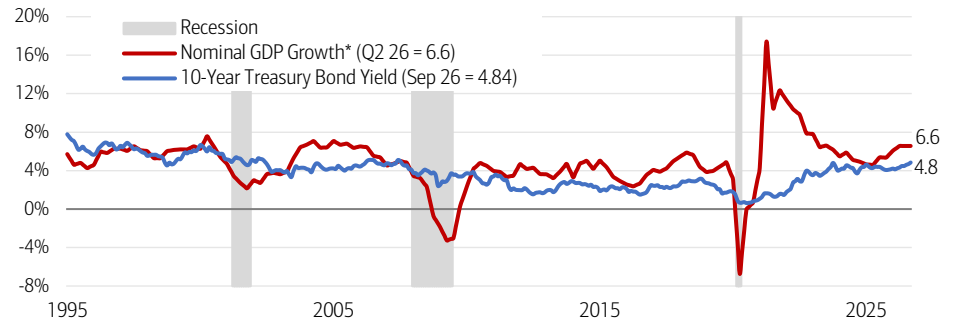
A New Yield Regime. For Fixed Income investors, the more important implication is that a 4% to 5% 10-year Treasury yield may represent the new normal. In an environment of very strong underlying economic growth and unprecedented volumes of debt issuance from both the public and private sectors, higher yields may be required to attract sufficient capital amid a more competitive landscape for yield.

We continue to view both nominal and real yields as attractive and believe investors should remain focused on achieving strategic duration targets. While rate volatility may persist, today's yield levels provide a potential opportunity to seek attractive income that has been largely absent for much of the past decade.

The Bigger Picture: Growth Still Matters More Than Debt Levels. None of this dismisses the long-term fiscal challenges facing the U.S. Debt levels are rising, interest costs continue to grow, and mandatory spending increasingly consumes a larger share of the federal budget. However, history shows that debt levels alone do not determine interest rates. Between 2007 and 2020, U.S. debt rose dramatically even as the 10-year Treasury yield fell from roughly 5% to below 1%. What ultimately matters is the interplay between short-term interest rates, debt levels, economic growth, inflation and investor demand.

For instance, nominal GDP growth and the 10-year yield tend to be correlated, outside of recessions—we believe recent rate increases partly reflect this strong macro backdrop. Moreover, economic growth is running above long-end yields, supporting the sustainability of rising government debt.

Exhibit 2: Higher Nominal GDP Growth Supports a Higher-Yield Regime.



*Yearly percent change. Sources: Federal Reserve Bank of St. Louis, FRED®; U.S. Bureau of Economic Analysis; Federal Reserve Board; National Bureau of Economic Research. Data as of September 9, 2026.

The U.S. continues to benefit from several structural advantages: the dollar remains the world's reserve currency, Treasurys remain the foundation of the global financial system, and U.S. capital markets are still the deepest and most liquid in the world. Those advantages continue to support demand for U.S. assets and underpin sovereign credit quality even as borrowing needs grow.

The bottom line, in our view, is that even though the recent rise in long-end yields catches many headlines, there is no need to panic. Instead, the recent repricing reflects periodic episodes of debt pressure rather than a fundamental loss of confidence in U.S. credit. With borrowing demand from both Washington and corporate America likely to remain elevated, bond prices may continue to serve as the market's release valve. The consequence is likely a world of structurally higher long-term yields, not a sovereign debt crisis.

What are the markets actually telling us?

Christopher Hyzy, *Chief Investment Officer*

When the markets speak loudly we should listen. There are often clues in the internal trends within the markets that help us determine how far into an economic cycle we are or what drivers of growth are most impactful. In addition, we can also find clues that help with determining the micro picture. In other words, what industries are the most likely to benefit, from a profitability standpoint is concerned, as the growth picture unfolds? Currently, the markets have a megaphone, in our view. The year-to-date sharp outperformers have been consistent and should continue to advance. These include commodities, including copper and oil, Emerging Markets, Japan in the Developed Markets, Small-cap relative to Large-cap shares, Value versus Growth, and more cyclically-oriented companies versus more defensive. This current consistent outperformance informs us that we are still early- to mid-cycle in a supply-led expansion. We are still early in the build out of the supply that is needed for the natural demand that is there. New infrastructure is needed to handle the new economy that is progressing and quickly innovating. This infrastructure needs commodities, all forms of energy, battery storage, minerals, metals, recycled water, gases, chemicals, and all the compute and cloud capacity, including memory and other components to handle the path toward mass tokenization. Moreover, the buildup of government debt in the advanced economies as fiscal deficits widen is forcing large institutional investors (including central banks and other government entities) to diversify their reserve bases. This has increased the interest in gold holdings. Countries that have a vast amount of natural resources, especially oil and gas, are in high demand by investors, which is obvious when examining year-to-date outperformers. The bottom line is that the markets are telling us that we are still early- to mid-cycle in this massive buildout, which will require a wide collection of hard assets, Infrastructure (old and new), land, and within Equities, a more diversified approach to exposure—particularly areas that are more cyclical- and Value-oriented. We expect this view to extend itself well into the foreseeable future if not years.

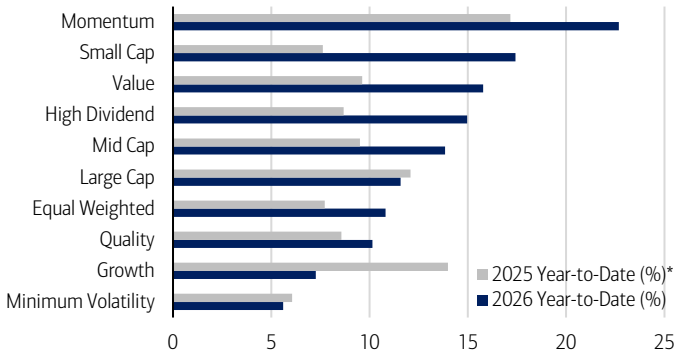
In Fixed Income, it may seem more complex, but it is actually easier to understand what the markets are telling us, in our opinion. The backup in yields is "real yield" driven, which is more due to higher nominal growth than to concerns of long-run inflation. This is evident in the Treasury inflation protection market, break-evens in general and the ratio of Treasury yields relative to other Government bond markets in the developed world. However, rising oil and gas prices and inflation gauges that are still above the preferred level are usually the excuses for yields backing up. Deficit concerns are a more plausible reason for yields rising but the main driver, in our view, is still above average nominal growth. The yield curve and rates in general are still adjusting to this new economic landscape that is very different than those of the most recent past.

Investment Implications

Market leadership in commodities, cyclicals, Value stocks, and real assets suggests the economy remains in the early-to-mid stages of a supply-driven expansion, while higher yields reflect strong nominal growth rather than recession concerns.

Exhibit 3: The Market's Megaphone: Leadership Continues to Signal Early-to-Mid Cycle Expansion.

A) Rotational Patterns in 2026 Remain Strong



B) Global Performance Gives Clues to Internal Trends.

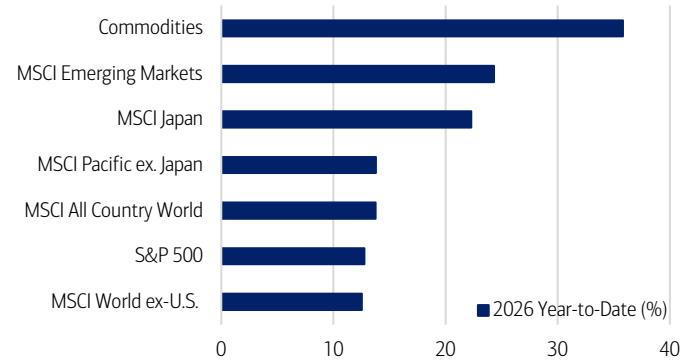


Exhibit 3A): Total returns referenced. Large-cap, Mid-cap, and Small-cap are represented by Russell Indexes. Equal Weighted, Value, Growth, Quality, High Dividend, Minimum Volatility and Momentum are represented by MSCI USA Indexes. *2025 Year-to-Date represents returns between January 1, 2025 through September 11, 2025. Source: Bloomberg. Data as of September 11, 2026. Exhibit 3B): Source: Bloomberg. Data as of September 11, 2026. Past performance is no guarantee of future results. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Please refer to index definitions at the end of this report.

Equities

Equities	Total Return in USD (%) Current	WTD	MTD	YTD
DJIA	52,573.29	-1.6	-1.0	10.6
NASDAQ	26,333.04	-0.6	-0.1	13.8
S&P 500	7,656.98	-0.8	-0.3	12.8
S&P 400 Mid Cap	3,714.14	-1.8	-1.2	13.4
Russell 2000	2,903.94	-2.4	-1.7	18.0
MSCI World	4,937.32	-1.0	-0.6	12.5
MSCI EAFE	3,194.03	-1.4	-1.1	12.5
MSCI Emerging Markets	1,721.53	-0.2	0.2	24.3

Fixed Income†

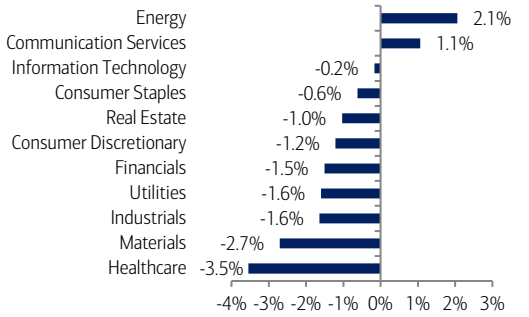
Fixed Income	Total Return in USD (%) Current	WTD	MTD	YTD
Corporate & Government	5.17	-0.93	-1.04	-1.49
Agencies	4.91	-0.68	-0.72	-0.28
Municipals	4.28	-1.23	-1.75	-1.55
U.S. Investment-Grade Credit	5.27	-1.04	-1.13	-1.43
International	5.74	-0.93	-1.12	-1.52
High Yield	7.62	-0.54	-0.66	2.01
90 Day Yield	4.00	3.84	3.83	3.63
2 Year Yield	4.63	4.37	4.34	3.47
10 Year Yield	4.97	4.78	4.75	4.17
30 Year Yield	5.35	5.24	5.24	4.84

Commodities & Currencies

Commodities	Total Return in USD (%) Current	WTD	MTD	YTD
Bloomberg Commodity	375.18	1.7	2.8	35.8
WTI Crude $/Barrel††	100.05	9.4	16.7	74.2
Gold Spot $/Ounce††	4349.08	-1.8	-2.0	0.7

Currencies	Total Return in USD (%) Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.16	1.16	1.16	1.17
USD/JPY	153.61	156.26	159.74	156.71
USD/CNH	6.71	6.71	6.72	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 09/08/2026 to 09/11/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 09/11/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 9/11/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.3	3.4
Real U.S. GDP (% q/q annualized)	2.1	1.5	2.4	2.3	2.1	2.2
CPI inflation (% y/y)	2.7	3.8	3.4	3.5	3.3	2.5
Core CPI inflation (% y/y)	2.5	2.7	2.4	2.5	2.5	2.5
Unemployment rate (%)	4.3	4.3	4.2	4.2	4.2	4.1
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of September 11, 2026.
Sources: BofA Global Research; GWIM ISC as of September 11, 2026.

Asset Class Weightings (as of 9/1/2026)

Asset Class	CIO View Underweight		Neutral		Overweight
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies			●		
Private Equity					
Private Credit					
Real Assets					
Cash					

CIO Equity Sector Views

Sector	CIO View Underweight		Neutral		Overweight
Industrials				▶	●
Financials				▶	●
Healthcare			▶	●	
Consumer Discretionary			●	◀	
Information Technology			●		
Energy			●		
Materials			●		
Utilities		●	◀		
Communication Services		●			
Real Estate		●			
Consumer Staples	●	◀			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of September 1, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

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Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

Bloomberg Commodity Index designed to provide liquid and diversified exposure to commodities via futures contracts. Is calculated on an excess return basis and reflects commodity futures price movements.

MSCI Emerging Markets Index captures large and mid cap representation across 24 Emerging Markets countries. With 1,205 constituents, the index covers approximately 85% of the free float adjusted market capitalization in each country.

MSCI Japan Index is designed to measure the performance of the large and mid cap segments of the Japanese market.

MSCI Pacific ex Japan Index captures large and mid cap representation across 4 of 5 Developed Markets (DM) countries in the Pacific region (excluding Japan). With 93 constituents, the index covers approximately 85% of the free float-adjusted market capitalization in each country.

MSCI All-Country World Index is a premier benchmark representing global equity performance, covering large and mid-cap stocks across 23 developed and 24 emerging markets.

MSCI World Index ex U.S. captures large and mid cap representation across 22 of 23 Developed Markets countries--excluding the United States..

MSCI USA Momentum Index is based on MSCI USA Index, its parent index, which captures large and mid-cap stocks of the U.S. market. It is designed to reflect the performance of an equity momentum strategy by emphasizing stocks with high price momentum, while maintaining reasonably high trading liquidity, investment capacity and moderate index turnover.

U.S. Large-cap Growth/Russell 1000 Growth Index measures the performance of the large-cap growth segment of the U.S. equity universe. It includes those Russell 1000 companies with relatively higher price-to-book ratios, higher I/B/E/S forecast medium term (2 year) growth and higher sales per share historical growth (5 years).

U.S. Small-cap/Russell 2000 Index measures the performance of the small-cap segment of the U.S. Equity universe.

MSCI USA High Dividend Yield Index is designed to reflect the performance of equities in the MSCI USA Index (excluding REITs) with higher dividend income and quality characteristics than average dividend yields that are both sustainable and persistent.

U.S. Mid Cap/Russell Midcap Index measures the performance of the mid-cap segment of the U.S. Equity universe. The Russell Midcap Index is a subset of the Russell 1000® Index. It includes approximately 800 of the smallest securities based on a combination of their market cap and current index membership.

MSCI USA Value Index captures large and mid-cap U.S. securities exhibiting overall value style characteristics.

MSCI USA Equal Weighted Index represents an alternative weighting scheme to its market cap weighted parent index, the MSCI USA Index. At each quarterly rebalance date, all index constituents are weighted equally, effectively removing the influence of each constituent's current price.

MSCI USA Minimum Volatility Index aims to reflect the performance characteristics of a minimum variance strategy applied to the large and mid-cap USA equity universe.

MSCI USA Growth Index captures large and mid cap securities exhibiting overall growth style characteristics in the US.

MSCI USA Quality Index are factor indexes designed to represent the performance of companies with durable business models and sustainable competitive advantages.

Russell Large Cap measures the performance of the large cap segment of the US equity market.

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Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

September 8, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Commodities: From Inflation Hedge to Structural Growth Asset:* The investment case for commodities is shifting from a narrow, tactical role as an inflation hedge toward a broader, potentially strategic portfolio allocation. In addition to offering differentiated return behavior when stock and bond correlations rise, commodities can provide exposure to structural growth drivers including Artificial Intelligence (AI) infrastructure, electrification, energy security, reshoring, and supply-chain investment.

Because the supply of many critical materials is slow to respond and geographically concentrated, these demand trends may create persistent scarcity and pricing power, although cyclical volatility remains an important consideration.

Market View—*Rising Global Interest Rates and International Markets:* Strong earnings growth has so far delivered a fourth consecutive year of double-digit gains for global Equity indexes in 2026, propelling them to new all-time highs. But a growing risk throughout the year has been the increase in government bond yields, which have also broken out to multidecade highs across a number of the major markets.

The U.S. Treasury will this week begin its expanded Treasury securities buyback program announced in mid-August in response to rising rates. But 10-year yields across all the major G10 countries have moved higher, in many cases by as much as or more than in the U.S. market.

Thought of the Week—*The One-Offs Inflating Q2 Earnings:* Second quarter corporate earnings results were boosted by one-offs, including mark-to-market gains on private investments and refunds following the tariff ruling. Yet even beyond these one-off factors, the Q2 underlying picture remains healthy: Companies have demonstrated an ability to grow revenues and maintain historically high margins in aggregate, as 10 of 11 sectors posted earnings growth.

That's a challenging setup for earnings next year. But for now, strong fundamentals and broad-based earnings participation continue to provide support for Equities, helping offset concerns of rising yields.

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Lauren Sanfilippo
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MACRO STRATEGY ▶

MARKET VIEW ▶

THOUGHT OF THE WEEK ▶

MARKETS IN REVIEW ▶

Portfolio Considerations

Despite ongoing market concerns around rates, valuations, and geopolitics, we remain constructive on risk assets, citing improving manufacturing activity, accelerating AI investment, resilient consumers, rising earnings, and ample liquidity as support for continued economic expansion.

Accordingly, we maintain our overweight to U.S. Equities, favoring diversification with meaningful bond allocations, and views market volatility as a potential opportunity to rebalance and add risk selectively.

As market leadership broadens, this month we are increasing exposure to Industrials, Financials and Healthcare while funding those moves by reducing Consumer Discretionary, Consumer Staples and Utilities.

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Commodities: From Inflation Hedge to Structural Growth Asset

Anna Snider, ***Managing Director and Head of Investment Manager Selection (Due Diligence)***

A broader role in portfolios: For decades, commodities occupied a relatively narrow role in portfolios: protection against inflation when rising prices eroded the value of traditional assets. That function remains important, but the investment case is broadening. Commodities now sit at the intersection of geopolitical fragmentation, supply-chain security, reshoring, inventory rebuilding, and the buildout of AI and digital infrastructure. Together, these forces are turning parts of the asset class from purely cyclical exposures into potential long-term growth beneficiaries.

The diversification case is also becoming more relevant. In Q1, when inflation concerns peaked, the Bloomberg Commodity Index returned close to 25%, outperforming both Equities and Fixed Income. At the same time, the relationship among major asset classes has shifted. Equity and Fixed Income correlations have tightened in recent years, while commodities have moved in the opposite direction: over the trailing five years, their correlation with both Equities and bonds has been negative. That combination of inflation sensitivity and differentiated return behavior can make commodities useful beyond a simple tactical hedge.

AI infrastructure is a physical buildout: AI is often viewed through semiconductors, software platforms, and hyperscale data centers. Yet the infrastructure required to deploy AI is extraordinarily commodity intensive. It requires continuous electricity, generation capacity, transmission lines, substations, transformers, cooling systems, networking hardware and structural materials. In that sense, AI is not only a computing revolution. It is also an energy, infrastructure, and critical-materials investment cycle.

Power is the first constraint. Data centers require reliable, around-the-clock electricity. Natural gas remains a practical source of incremental generation in the U.S., while nuclear power is emerging as a strategic long-term option for hyperscalers seeking stable baseload supply. Solar and wind can add capacity and support decarbonization goals, but grid reliability and storage become more important as power demand rises. That supports investment in batteries, backup power and grid-scale storage, with lithium and graphite among the relevant inputs.

The buildout also increases demand for industrial metals. Copper is a clear beneficiary because it is essential to transmission, transformers, cooling systems and data-center wiring. Aluminum and iron ore are used in facilities, electrical equipment, transmission networks and supporting infrastructure. Semiconductor fabrication adds another layer of demand through industrial gases such as helium and neon, high-purity quartz for wafers and optics, and gallium and germanium for advanced chips, photonics, and telecommunications. AI-enabled automation and robotics also depend on permanent magnets that use rare earth elements, including neodymium-praseodymium and dysprosium-terbium.

Demand has moved faster than supply: This demand surge resembles earlier cycles in semiconductors and memory, where expectations pulled spending forward. Metals and mining companies are already seeing earnings growth and margin expansion, yet the industry has struggled to keep pace with demand. The imbalance matters because commodity supply is slow to respond. Production of many strategic materials is geographically concentrated, permitting timelines are lengthy, recycling capacity is limited, and substitution can remain years from commercial viability. New mines and processing facilities can take a decade or more to reach production.

Investment Implications

Commodities may increasingly serve three portfolio purposes: inflation protection, diversification from traditional assets, and participation in long-term infrastructure and resource-demand growth, supporting a diversified allocation across direct commodities and select producer Equities rather than a single directional trade.

Governments are also taking a larger role through industrial policy, export controls, stockpiling and efforts to secure critical supply chains. Restrictions involving gallium, germanium, graphite and other strategic materials underscore how geopolitics can affect availability and pricing. As a result, the current cycle may produce greater scarcity and pricing power than demand growth alone would suggest.

So far, this dynamic has been most visible in industrial metals, but the same forces could extend into agriculture. Reshoring changes where food and inputs are produced and processed, while inventory rebuilding can lift demand for fertilizer, fuel, machinery and storage. Agriculture has not yet experienced the same earnings and pricing impact as metals, but supply-chain resilience could make it a broader beneficiary over time.

Cyclical forces still matter: The structural thesis does not eliminate near-term volatility. Energy remains a key transmission mechanism for inflation because oil and natural gas underpin transportation, manufacturing and industrial production. Geopolitical disruptions can cascade through supply chains, raising costs and moving both commodity futures and spot prices. Currency dynamics matter as well. A stronger U.S. dollar can restrain commodity prices by increasing costs for non-U.S. buyers, while renewed dollar weakness could support emerging-market demand and reprice dollar-denominated assets.

A stabilization of geopolitical tensions could create a more constructive cyclical backdrop through lower energy volatility, improved business confidence and stronger capital investment. Conversely, renewed conflict can produce sharp and uneven moves across the complex. These crosscurrents reinforce the value of treating commodities as a diversified allocation rather than a single directional trade.

Gold, implementation and the portfolio case: Gold is fundamentally different from most industrial commodities, but it deserves attention. Its traditional relationships with interest rates and the dollar have been less reliable lately. Even so, sustained central bank and exchange-traded fund buying points to durable long-term demand despite bouts of volatility such as the selloff earlier this year. Gold also tended to move inversely with oil during the height of the Iran conflict, illustrating how different commodities can respond differently to the same geopolitical shock.

Investors can access the theme through commodity futures or producer Equities. Direct commodity exposure is generally the clearer vehicle for inflation protection, scarcity, and geopolitical supply shocks. Producer equities can offer greater upside when commodity prices rise faster than operating costs because earnings and margins expand, but that leverage is asymmetric. Company-specific execution, financing, cost and valuation risks can still cause Equities to underperform the underlying commodity. A blended approach may capture both physical scarcity and corporate operating leverage.

Ultimately, commodities remain sensitive to energy markets, currencies, growth, and geopolitics, but their portfolio role is expanding. They can provide inflation protection and diversification while offering exposure to AI infrastructure, electrification, energy security, defense modernization, reshoring and, potentially, agricultural supply-chain investment. The strongest beneficiaries of the AI trade may therefore extend well beyond technology companies to the materials and power systems that make deployment possible.

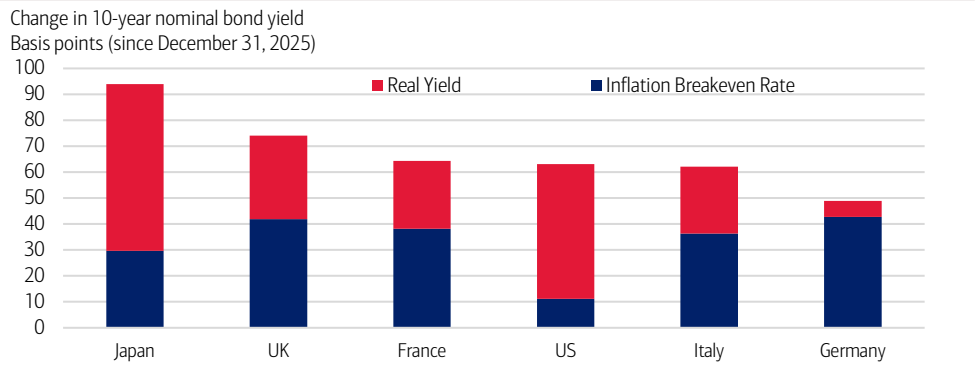
Rising Global Interest Rates and International Markets

Ehiwario Efeyini, *Director and Senior Investment Strategist*

Strong earnings growth has so far delivered a fourth consecutive year of double-digit gains for global Equity indexes in 2026, propelling them to new all-time highs. But a growing risk throughout the year has been the increase in government bond yields, which have also broken out to multi-decade highs across a number of the major markets. The U.S. Treasury will this week begin its expanded Treasury securities buyback program announced in mid-August in response to rising rates. But 10-year yields across all the major G10 countries have moved higher, in many cases by as much as or more than in the U.S. market. Against a backdrop of above-trend growth in nominal gross domestic product (GDP), high energy prices and elevated inflation, investors appear to be reassessing monetary policy expectations, particularly in Europe where most of the 2026 increase in 10-year yields has been driven by inflation breakevens (Exhibit 1). Fixed Income markets are consequently looking for policy rate hikes from the European Central Bank later this week and potentially from the Bank of Japan later next month.

The rise in global interest rates has also come alongside an expansion in fiscal policy across the major markets. In Europe, 2026 and 2027 are expected to be the peak spending years for defense and infrastructure expenditure plans unveiled last year. The so-called Readiness 2030 package allocates €800 billion to increased European Union defense spending as it looks to move toward its 5% of GDP target by 2035. And at the same time, the German government relaxation of its national debt brake has directed €500 billion toward funding for investment in clean energy, transportation and digital infrastructure. Similarly in Japan, the government supermajority is looking to enact a new stimulus aimed at raising investment levels across 17 strategic sectors such as semiconductors, defense and shipbuilding, in addition to a planned two-year cut to the consumption tax on food from April 2027. And in the UK, the new central government leadership is also likely to announce new spending measures when its first national budget is released next month. To the extent that increased public investment spending can lift productivity and support nominal GDP growth in Europe and Japan, the rise in yields need not undermine economic growth or derail the equity market advance. But higher rates, especially in response to supply-driven energy price inflation, nonetheless remain a risk for developed market equity returns going into the end of the year.

Exhibit 1: Global Bond Yields in Major Markets have Risen by as Much or More than U.S. Yields in 2026.



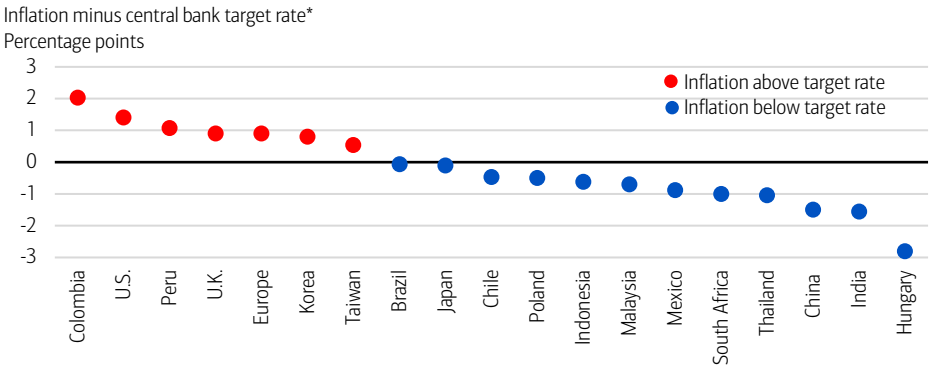
Source: Bloomberg. Data as of September 1, 2026..

For many emerging markets the picture looks quite different. In contrast with the U.S., Japan and Europe, inflation rates are generally well below central bank targets outside a limited number of resource exporters in Latin America and the booming AI-linked economies of Korea and Taiwan (Exhibit 2). As a result, policy rate expectations over the coming quarters are stable or lower for several emerging markets (including China, Malaysia, Thailand, Poland, Brazil and Mexico) according to Bloomberg consensus forecasts.

Investment Implications

Ongoing strength in economic growth and corporate earnings should support global equity markets even in the face of rising rates. For Emerging Markets (EM) Equities in particular, contained inflation, flat to lower local policy rate expectations and stronger fundamentals should limit the impact. And we continue to favor EM Equities over International Developed Markets, where inflation levels are generally still above target, central banks are expected to raise rates and investors will be watching for fiscal sustainability as governments implement expansionary budget plans.

Exhibit 2: Inflation a Greater Challenge for Central Banks in Developed Markets than EMs.



Source: Bloomberg. Data as of July 2026. *Central bank inflation targets are the upper bound when set as a range.

Historically, rising U.S. interest rates have been a major headwind for emerging markets. But looking ahead in the current cycle, we still expect the impact of potential Federal Reserve (Fed) rate hikes to be lower than in the past. Over recent years, the association between tighter Fed policy and weaker EM returns appears to have diminished. EM Equities for example were resilient in the face of aggressive U.S. rate increases in 2022 and 2023, broadly keeping pace with the rest of the world. This is in sharp contrast to prior cycles in which tighter Fed policy has resulted in capital flight, deleveraging and falling asset values across the emerging world. Particularly during the crisis periods of the 1980s and 1990s—but also more recently during the 2015 taper tantrum—U.S. monetary tightening has tended to attract capital away from riskier emerging countries (particularly those with large current account deficits), reducing support for local asset prices and exchange rates.

Associated strength in the U.S. dollar has typically been an additional hurdle. For those emerging economies with fixed exchange rates, a loss of export competitiveness has further undermined current account positions, forcing central banks to run down their foreign exchange reserves. And where exchange rates are floating, foreign currency debts have risen in local currency terms, resulting in widespread defaults, debt downgrades, recessions and additional exchange rate depreciation.

But starting in the years that followed the 1997-1998 Asian financial crisis and continuing into the current cycle, the fundamentals across much of the EM universe have improved. Fixed exchange rates have been abandoned. EM foreign currency reserves have roughly doubled as a share of GDP. The share of EM debt denominated in U.S. dollars has fallen significantly, led by the private sector across households and corporates. And for most countries, current account deficits have narrowed or disappeared entirely. As a result, emerging markets have become much more insulated from the direction of U.S. interest rates on a structural basis, and this has only been reinforced by the AI-driven revaluation of key Asian markets in 2026. Greater concentration in Korea and Taiwan has increased the EM weighting in the surplus Asia-Pacific region to 83% as at the end of August—up from 81% at the start of the year and 71% a decade ago.

Above-trend growth in nominal GDP and ongoing strength in corporate earnings should support global equity markets even in the face of rising interest rates. But for emerging Equities in particular, contained inflation relative to central bank targets, flat to lower local policy rate expectations and stronger economic fundamentals should limit the impact from higher global rates. We continue to favor EM Equities over International Developed Markets, where inflation levels are generally still above target, central banks are expected to raise interest rates and investors will be watching for fiscal sustainability as governments implement expansionary budget plans.

The One-Offs Inflating Q2 Earnings

Lauren Sanfilippo, *Director and Senior Investment Strategist*

Headline Q2 earnings numbers look almost too good to be true. And in a sense, they are. With nearly all of S&P 500 companies' results reported, EPS growth is tracking around 50% year-over-year (YoY)—not just an acceleration from Q1 but a second consecutive quarter above 20%. Chiefly skewing the headline number are massive mark-to-market gains on private investments for a handful of mega cap technology companies like Alphabet and Amazon that booked outsized non-operating gains tied to their stakes in Anthropic, while Microsoft benefited from its OpenAI investment. Strip those out, and adjusted EPS growth notches down to 31%. The point being, after being sliced and diced, 30%+ is well above any long-run historical earnings growth rate.

The one-off nature of earnings strength wasn't limited to investment gains. A second, less-discussed boost was tariff refunds. As Exhibit 3 illustrates, revenues from tariffs steadily climbed from early 2025 through mid-2026 until the International Emergency Economic Powers Act (IEEPA) tariff ruling which initiated the refund process. As refunds were disbursed, customs receipts turned net negative in June and July, with refund payments exceeding total tariff collections. Customs and Border Protection cash withdrawals of more than $100 billion in refunds have now been paid—60% of the $165 billion in total eligible claims.

The recipients: the "importers of record," or the dozens of S&P 500 companies that have disclosed billions in refunds over the past two quarters; Apple alone received $2.19 billion, adding $0.11 to per-share earnings to their quarter. Other disclosed refunds include Nike with $986 million, Amazon with $640 million, and General Motors refunded $500 million (although accounting treatment and use of proceeds has varied).

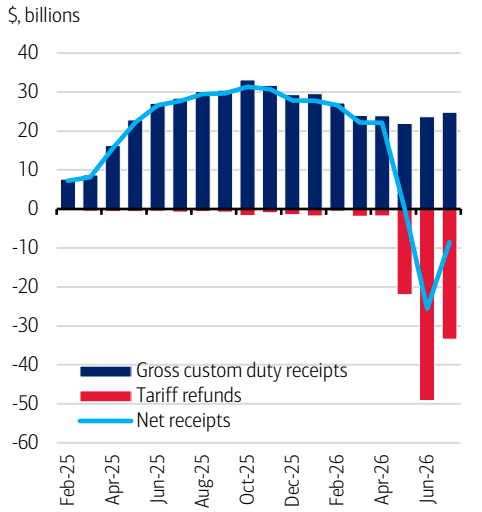
The boost of investment gains and/or refunds may not be repeatable in future quarters. Perhaps more telling is that the median company's revenue grew roughly 15% YoY, the strongest gain in years, corroborating that there is operating momentum rather than just an accounting mirage for Q2 earnings. Margins, too, as a percent of GDP are at their highest back to 1950, hovering north of 22%, see Exhibit 4. That this is occurring amid rising rates and at a time of geopolitical uncertainty/disruption, rather than a post-recessionary recovery, makes the results that much more impressive.

The Path Forward: Questions remain about the sustainability of these elevated growth rates, although consensus expects EPS growth to stay above 20% in both Q3 and Q4. If achieved, every quarter this year would see 20%-plus EPS growth. On the back of brighter outlooks from Corporate America in recent weeks, full-year earnings growth will decelerate into the mid-teens in 2027, but that moderation comes off a high base of 2026. For now, the breadth of earnings growth is the encouraging story as 10 of the 11 sectors reported growth (Energy and Communication Services leading the way, Healthcare the only detractor). That's a reflection of strong core businesses growing revenues into 2027's tougher YoY comparisons.

Investment Implications

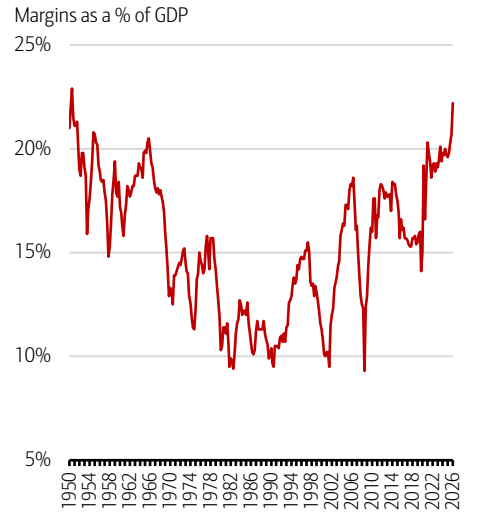
Underlying earnings-per-share (EPS) growth of around 30%, stripped of investment gains, is historically exceptional. It remains that robust corporate earnings and positive revisions have helped Equities absorb concerns around the recent rise in yields.

Exhibit 3: The Tariff Give and Take.



Sources: U.S. Treasury; Haver Analytics. Data through July 2026, as of August 24, 2026..

Exhibit 4: Domestic Margins Approach All-Time High.



Sources: Bureau of Economic Analysis; Haver Analytics. Data as of September 1, 2026.

Equities

Equities	Total Return in USD (%) Current	WTD	MTD	YTD
DJIA	53,414.25	-0.2	0.5	12.4
NASDAQ	26,506.99	0.4	0.5	14.5
S&P 500	7,718.60	0.1	0.5	13.7
S&P 400 Mid Cap	3,784.99	0.2	0.7	15.5
Russell 2000	2,975.65	0.2	0.7	20.8
MSCI World	4,986.93	0.1	0.4	13.6
MSCI EAFE	3,239.16	-0.2	0.2	14.1
MSCI Emerging Markets	1,726.32	0.3	0.4	24.6

Fixed Income†

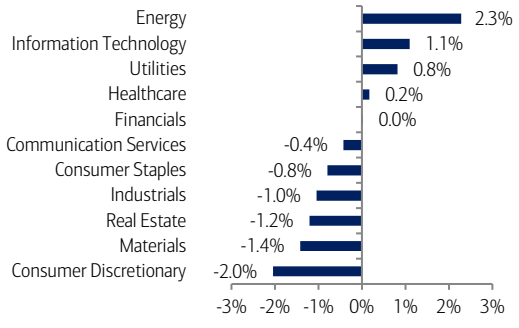
Fixed Income	Total Return in USD (%) Current	WTD	MTD	YTD
Corporate & Government	4.96	-0.19	-0.12	-0.57
Agencies	4.68	-0.04	-0.04	0.41
Municipals	4.07	-0.81	-0.52	-0.33
U.S. Investment-Grade Credit	5.04	-0.18	-0.09	-0.40
International	5.54	-0.29	-0.20	-0.60
High Yield	7.37	-0.15	-0.12	2.57
90 Day Yield	3.84	3.80	3.83	3.63
2 Year Yield	4.37	4.34	4.34	3.47
10 Year Yield	4.78	4.72	4.75	4.17
30 Year Yield	5.24	5.21	5.24	4.84

Commodities & Currencies

Commodities	Total Return in USD (%) Current	WTD	MTD	YTD
Bloomberg Commodity	368.84	2.0	1.1	33.5
WTI Crude $/Barrel††	91.48	9.7	6.7	59.3
Gold Spot $/Ounce††	4429.98	-0.6	-0.2	2.6

Currencies	Total Return in USD (%) Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.16	1.16	1.16	1.17
USD/JPY	156.26	160.09	159.74	156.71
USD/CNH	6.71	6.73	6.72	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 8/31/2026 to 9/4/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 9/4/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 9/4/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.2	3.4
Real U.S. GDP (% q/q annualized)	2.1	1.5	2.5	2.4	2.1	2.2
CPI inflation (% y/y)	2.7	3.8	3.2	2.9	3.2	2.0
Core CPI inflation (% y/y)	2.5	2.7	2.4	2.5	2.5	2.5
Unemployment rate (%)	4.3	4.3	4.2	4.2	4.2	4.2
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of September 4, 2026.
Sources: BofA Global Research; GWIM ISC as of September 4, 2026.

Asset Class Weightings (as of 9/2/2026)

Asset Class	CIO View Underweight		Neutral		Overweight
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies Private Equity Private Credit Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	CIO View Underweight		Neutral		Overweight
Industrials				▶	●
Financials				▶	●
Healthcare			▶	●	
Consumer Discretionary			●	◀	
Information Technology			●		
Energy			●		
Materials			●		
Utilities		●	◀		
Communication Services		●			
Real Estate		●			
Consumer Staples	●	◀			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of September 2, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

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Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

Bloomberg Commodity Index tracks prices of futures contracts on physical commodities on the commodity markets.

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Alternative investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

August 31, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Moderate Growth, Broadening Opportunities:* With incoming data showing moderate growth with relatively steady inflation, concern about a destabilizing increase in interest rates have recently centered around heavier-than-expected government and corporate debt issuance alongside potentially softer foreign demand for Treasury securities—such as due to structural changes from normalizing interest rates in Japan following decades of abnormally low levels, for example. However, with private-sector underpinnings healthy, the unique role of the U.S. in the global economy and financial markets, and scope to gradually reduce fiscal deficits without dire effects on economic growth, market pricing has remained more focused on near-term growth and inflation dynamics—with interest rates contained in their three-year range and quite sensitive to oil market developments. Consistent with an extended expansion and surging profits, credit spreads have also remained narrow. We remain optimistic about growth and inflation dynamics and expect cyclical assets to continue to outperform despite occasional trepidations.

Market View—*Taking Stock of the End of Capital Abundance:* For much of the past quarter century, the global economy enjoyed a remarkable luxury: Capital was abundant, cheap and seemingly limitless. Few countries benefited more from this age of capital abundance than the U.S. For decades, the world was happy to finance the difference.

Now, at precisely the moment when America's financing needs have rarely been greater, the age of abundant capital is giving way to something very different: The age of capital competition. While the supply of savings hasn't collapsed, the world has developed an enormous appetite for capital. We call the list of claimants on capital the Five Ds: Debt, Defense, Digitalization, Demographics and Deglobalization. Between large structural deficits, the end of the post-Cold War peace dividend, the capital-intensive Artificial Intelligence (AI) buildout, aging populations and the reorganization of supply chains, emerging competition for capital has become visible in the capital markets. For investors, all the above likely means structurally higher real interest rates and leaders in areas like power generation, defense, industrial automation and other capital-intensive industries. In the end, the age of capital abundance is fading—the era whereby capital basically chased borrowers is past. Prologue will be defined by borrowers chasing capital. The tide has turned.

The Ticker Tape—*Top Questions Answered Directly by Our Chief Investment Officer (CIO).*

- What portfolio addition could potentially help mitigate a sharp rise in inflation and/or yields? How about the start of a new hiking cycle where short-term interest rates rise consistently?

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MACRO STRATEGY ▶

MARKET VIEW ▶

THE TICKER TAPE ▶

MARKETS IN REVIEW ▶

Portfolio Considerations

We view recent volatility as a rolling correction rather than the end of the cycle. We favor diversified Equity exposure, with potential opportunities extending beyond Growth to Value, Small- and Mid-caps, Non-U.S. Equities (especially Emerging Markets), dividend-focused and thematic strategies.

We favor adjusting portfolios toward strategic durations given attractive elevated nominal and real yields, and see value in high-quality bonds, particularly longer-dated municipal bonds.

Consider broader portfolio diversification with potential opportunities across industrial metals, energy, Real/Tangible Assets, Hedge Funds, private markets, and global strategies to capture themes from AI, reindustrialization, infrastructure growth and market dispersion.

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Moderate Growth, Broadening Opportunities

Chief Investment Office, *Macro Strategy Team*

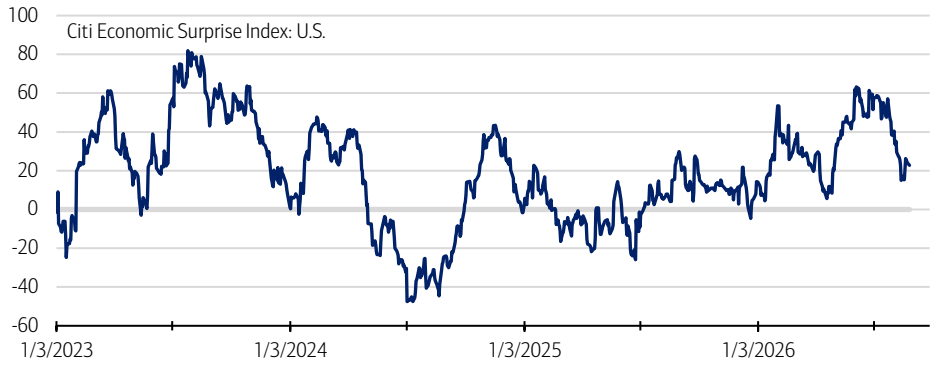
Although the Citi Economic Surprise Index has been easing over the past month as a rising number of data releases have fallen short of elevated expectations (Exhibit 1), the data remains broadly positive and consistent with sustained moderate growth. Indeed, with alternating waves of headwinds and tailwinds, real consumer spending and gross domestic product (GDP) continue to expand near their longer-run average rates even with substantial wealth effects and strong growth in government transfer payments.

Employment and hours worked have barely increased over the past year, leaving productivity to account for nearly all the economic growth. Combined with moderating wage growth, this has contained unit labor costs—a positive for inflation dynamics. Despite stubborn readings above the Federal Reserve's (Fed) 2% target inflation through July, consumer price index data were relatively favorable, and although the latest personal consumption expenditures (PCE) report was less reassuring, much of the upside pressure remained concentrated in healthcare, tariff- and energy-sensitive categories, as well as in volatile financial services that tend to follow equity-market gains. The latter inflation category is slated to be revised lower when new index methodologies are announced next month. Meanwhile, a broad range of other goods and services showed signs of cooling inflation on a three-month annualized basis, as shown in Exhibit 2.

Investment Implications

Trend economic growth near potential—led by strengthening business investment, manufacturing activity, and sturdy productivity increases—suggests continued expansion with moderate inflation as well as broadening earnings growth across sectors and market capitalization.

Exhibit 1: Economic Data Surprises Have Been More Mixed Over The Past Month...



Source: Bloomberg. Data as of August 26, 2026. It is not possible to invest directly in an index. Please refer to index definitions at the end of this report. **Past performance is no guarantee of future results.**

Basically, tariffs, elevated oil prices, wealth effects and AI-related electronics price inflation continue to put upward pressure on inflation and interest rates. Although higher gasoline prices have largely offset the One Big Beautiful Bill Act's (OBBBA) direct benefit to consumers, the shift from a negative fiscal impulse in 2025 to a positive impulse this year has supported aggregate demand, contributing to the stalled progress on headline inflation. Government transfers increased rapidly in July to a new high as a share of personal income, as aging baby boomers retire.

Upside pressures on inflation have been counteracted in large part by slowing wage growth, subdued housing activity, relatively tame credit growth, strong productivity, and soft unit labor cost increases. In our view, if demand materially exceeded productive capacity, inflation reacceleration would be much more pervasive.

Also important, the effective tariff rate is expected to average approximately 10% this year, broadly matching its 2025 average absent another policy shock. The tariff contribution to inflation is thus expected to continue to fade from its estimated early-2026 peak of roughly 0.8 percentage point. Further oil-price moderation and methodological changes affecting financial-service prices and other categories seen as misrepresenting true inflation will also help improve the picture. Alongside anchored longer-term inflation expectations, this suggests a gradual further moderation in inflation, which would improve household purchasing power and support economic

Exhibit 2: ....And Updside Inflation Pressures Have Become Less Broad-based Over the Past Three Months.

PCE Price Index	3-month annualized % change	Year-over-Year%*	Average over prepandemic decade**
Tax preparation and related businesses	41.0%	2.8%	3.8%
Financial services (charges, fees, commissions)	31.0%	14.0%	5.0%
Housing and Utilities	2.9%	3.3%	2.4%
Healthcare	3.3%	3.0%	1.6%
Ground transportation services	-6.8%	1.4%	2.1%
Air transportation services	12.5%	17.0%	2.4%
Recreation services	0.1%	2.9%	2.0%
Food services and accommodation	0.6%	3.4%	2.4%
Durable goods	1.5%	3.4%	-1.7%
Recreational goods and vehicles	8.7%	8.6%	-4.8%
Motor vehicle tires, parts, and accessories	7.0%	4.0%	1.0%
Furnishings and household durable goods	-4.6%	0.4%	-1.9%
Clothing and footware	-1.0%	3.5%	0.3%
Information Processing Equipment	12%	15%	-6%

* July 2026/July 2025. **2010-2019 Average. Sources: Haver Analytics; Chief Investment Office. Data as of August 26, 2026 It is not possible to invest directly in an index. Please refer to index definitions at the end of this report. **Past performance is no guarantee of future results..**

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growth. Real consumer spending appears on track for approximately 2.5% to 3% annualized growth in Q3, following + 0.5% in Q1 and +3.5% in Q2.

Also positive, business investment in equipment and intellectual property accelerated strongly in the first half. Business investment in manufactured goods is particularly positive for broadening economic growth given manufacturing activity's high multiplier effect on jobs and aggregate demand. Helped by surging AI investment, OBBBA tax incentives, and rebounding profitability, manufacturing activity is rapidly improving after several weak years, helping sustain real GDP growth near 2.1% year-over-year, in line with its 25-year average. Although July "core" capital-goods orders were disappointing, June was revised substantially higher, raising estimates for Q3 business investment. Strong regional manufacturing surveys also point to strong momentum, mostly the direct result of surging AI-related investment.

While there is no single accepted estimate for AI investment in the U.S., it is generally projected at around $600 billion in 2026, $850 billion in 2027, $950 billion in 2028, and over $1 trillion in 2029. While reaching new highs, its growth rate—and therefore its contribution to GDP growth—is eventually projected to moderate from +50% to +60% in 2026 and 2027 to +10% by 2029. Also important, its domestic impact is smaller than the headline total suggests. According to industry estimates, 70% of AI spending is directed toward equipment, most of it imported. Thus, only around 50% of projected U.S. AI investment is poised to directly help the domestic economy—though still enough to help broaden growth through expanding domestic data-center construction, equipment production, power generation, and supporting infrastructure.

The manufacturing sector's broader spillovers to suppliers, construction, transportation, and services make the sector's recovery an important support for continued expansion. Consistent with surging AI capital expenditures, rebounding industrial production, and very strong profit estimates both here and abroad, BofA's Global Wave[1] indicator has continued to increase—a typically favorable indicator for cyclical assets' performance relative to defensives.

With the growth and inflation outlook remaining positive, concerns have shifted to fiscal strains and uncertainty, as the 2026 deficit appears likely to exceed the Congressional Budget Office's February projection by about $200 billion, and publicly-held debt is projected to rise from approximately 101% of GDP in 2026 to 120% by 2036—a path that could test investor confidence.

However, since there is no identifiable debt threshold that automatically triggers a crisis, and comparisons with smaller or externally indebted economies are imperfect, the loss of confidence in the sustainability of the debt has been short-lived. Indeed, U.S. debt is dollar-denominated and approximately 70% is domestically held. Deep capital markets and the dollar's global reserve currency role sustain structural Treasury demand. Also important, healthy private sector balance sheets and productivity growth leave scope for gradual fiscal consolidation in a solidly growing economy without the dire negative effects on the economy observed in past debt crises overseas. Thus, despite recent concerns, Treasury yields remain within their three-year range and broadly consistent with moderate growth and anchored inflation expectations, their recent variations largely tracking energy prices and geopolitical developments.

Also important, the term premium has returned to pre-global-financial-crisis levels following exceptionally low levels in the post-2008-2009 decade. However, its increase appears to be just a normalization in a delayed response to previous monetary tightening. Indeed, the estimated 10-year term premium—or compensation required by investors to hold long-term debt rather than roll over short-term debt—has historically followed the federal funds rate with a substantial lag of almost 3 years.

While government debt supply, central-bank balance sheet policy, inflation, and interest-rate volatility shape the term premium, the lagged fed funds–term premium correlation suggests that the 2024 to 2025 policy easing is likely to act as a moderating force on the term premium for the foreseeable future. In our view, the growth and interest rate environment is, therefore, likely to remain constructive for continued expansion and cyclical assets' performance, including materials and infrastructure investments while fiscal uncertainty, soft labor demand, and an eventually moderating AI investment impulse argue for portfolio diversification.

[1] BofA Global Wave quantifies global economic trends, and it is used to forecast stock market performance.

MARKET VIEW

Taking Stock of the End of Capital Abundance

Joseph Quinlan, Managing Director and Head of Market Strategy

For much of the past quarter century, the global economy enjoyed a remarkable luxury: Capital was abundant, cheap and seemingly limitless.

Savings flowed freely across borders. Global interest rates drifted steadily lower and, for a time, actually turned negative across parts of Europe and Japan. Governments borrowed with few apparent consequences. Corporations financed growth at historically attractive rates. Households gained access to inexpensive credit. And investors prospered as declining discount rates helped push the valuations of stocks, bonds, real estate and other financial assets higher.

Few countries benefited more from this age of capital abundance than the U.S. As the world's largest debtor nation and home to the world's deepest capital markets, America tapped the global savings pool with extraordinary ease. Foreign capital helped finance persistent federal budget and current account deficits while keeping U.S. borrowing costs remarkably low. Washington could spend more than it collected, households could consume more than they earned, and the country as a whole could invest more than it saved.

For decades, the world was happy to finance the difference. That comfortable arrangement is now being challenged. At precisely the moment when America's financing needs have rarely been greater, the age of abundant capital is giving way to something very different: The age of capital competition.

Importantly, the world is not running out of savings. According to the International Monetary Fund, gross global savings remain around 27% of world GDP, roughly in line with the average of this century. The supply of savings has not collapsed.

What has changed is the other side of the equation. The world has developed an enormous appetite for capital. Governments, corporations and households are increasingly competing for essentially the same pool of savings. And when demand for something rises faster than its supply, its price tends to rise. For capital, that price is the interest rate.

The past was different. The previous era of abundance was unusual not merely because the world saved a great deal but because investment demand was comparatively weak.

China, Germany, Japan, oil-producing nations and other surplus economies generated enormous pools of excess savings. Emerging market central banks accumulated foreign exchange reserves, much of which found its way into U.S. Treasury securities. Meanwhile, following the global financial crisis, private investment across much of the developed world remained subdued.

The upshot: Too much capital was chasing too few attractive and potential investment opportunities.

Today, that equation is reversing. Global savings remain plentiful, but the list of claimants on that capital is exploding. We call them the Five Ds: Debt, Defense, Digitalization, Demographics and Deglobalization.

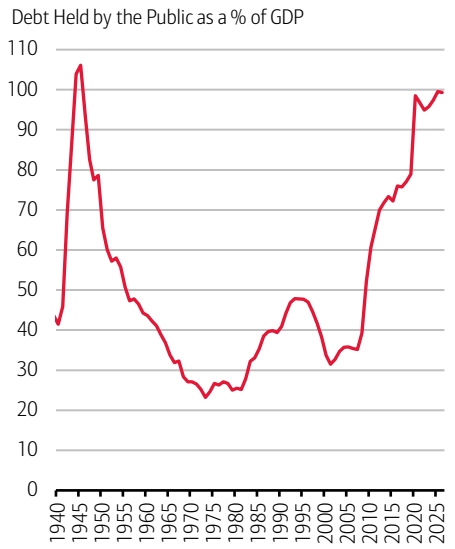
Start with debt. Governments across the developed world are running large structural deficits while simultaneously confronting rising interest expenses. The U.S. stands out. Federal debt held by the public is approaching the size of annual U.S. GDP, and Washington must finance large new deficits while continually refinancing trillions of dollars of existing obligations (Exhibits 3 and 4). Treasurys are therefore competing for capital on a massive scale.

Then comes defense. Russia's invasion of Ukraine, tensions in the Middle East and strategic competition between the U.S. and China have ended the post-Cold War peace dividend. America is rebuilding munitions inventories, Europe is rearming, and Asian

Investment Implications

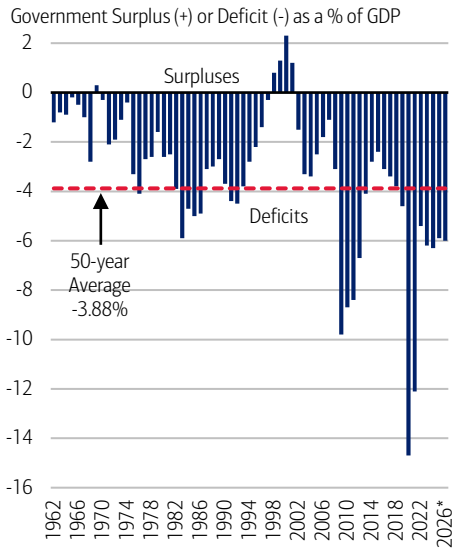
The age of capital competition will likely favor quality companies with strong balance sheets, durable cash flows and capital discipline, in our view. Investors should consider from the global capital spending cycle via exposure to themes such as power and electrical infrastructure, defense, robotics, semiconductors and data centers.

Exhibit 3: U.S. Debt-to-GDP Ratio Hovers at 100%.



Sources: Office of Management and Budget; U.S. Treasury; Bureau of Economic Analysis. Data as of August 2026. 2026 estimate based on latest debt figure and Q2 GDP.

Exhibit 4: U.S. Budget Deficit Remains Elevated.



*Estimate based on 12 months through July 2026.
Source: Congressional Budget Office; U.S. Department of the Treasury. Data as of August 2026.

nations are increasing military expenditures. Ships, missiles, satellites, drones and defense-production facilities all require capital.

Third is digitalization. The AI revolution may prove to be among the most capital-intensive technological transformations in history. Technology companies are spending extraordinary sums on data centers, advanced semiconductors, networking equipment and power generation. Utilities need capital to expand and modernize electrical grids. Semiconductor manufacturers require tens of billions of dollars to build advanced fabrication plants. All the above is enormously expensive and demands capital.

Fourth is demographics. Aging populations are placing growing pressure on government budgets through pensions, healthcare and other social programs. Fewer workers relative to retirees mean greater fiscal burdens across much of the developed world. In the U.S. alone, mandatory spending outlays on Medicaid, Medicare and Social Security have jumped from $724 billion in 2000 to $3.2 trillion in FY 2025.

Finally, there is deglobalization. For decades, globalization was fundamentally about efficiency: Produce goods wherever costs were lowest. Today's world increasingly prizes resilience and national security, which means the duplication of supply chains, reshored factories, expanding strategic inventories and subsidized domestic manufacturing facilities. All these objectives, of course, require capital.

Indeed, the common denominator of debt, defense, digitalization, demographics and deglobalization is access to capital. And since these factors are structural rather than cyclical, their demands on global savings are unlikely to fade any time soon.

Evidence of this emerging competition is increasingly visible in financial markets. Investment-grade companies have already sold nearly $1.5 trillion of bonds this year, roughly 36% more than during the comparable period last year and on pace to challenge previous records, according to Bloomberg. With hyperscalers expected to continue pouring capital into AI infrastructure through the end of the decade, corporate demand for financing could remain elevated for years.

Meanwhile, the U.S. Treasury must finance enormous federal deficits. The result is an increasingly crowded marketplace in which governments and corporations are competing for the same investor dollars. Recent shifts by investment grade bond funds away from Treasurys and toward corporate debt offer a small but telling glimpse of what this new environment may look like (Exhibits 5 and 6).

For investors, the implications are significant. First, real interest rates may remain structurally higher than during much of the previous two decades. Investors waiting for a return to the ultra-low-rate environment of the 2010s may be waiting a very long time.

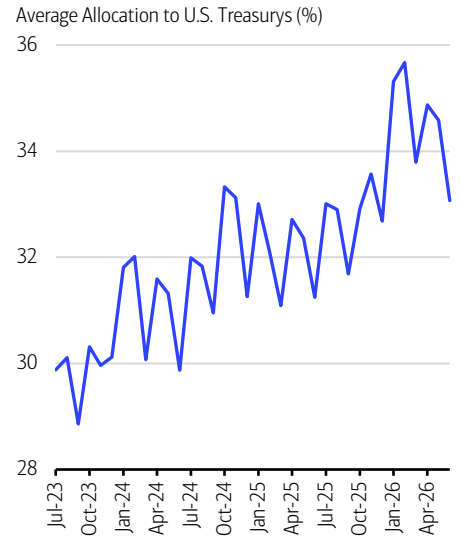
Second, fiscal policy matters again. In an era of abundant capital, markets often tolerated fiscal excess. In a world of greater capital competition, countries that borrow heavily without generating corresponding economic returns may eventually pay a higher price. Keep a close eye on Japan.

Third, capital allocation matters more. Companies capable of generating strong returns on invested capital, maintaining healthy balance sheets and funding expansion internally should command a premium. When money is no longer virtually free, the difference between productive investment and financial engineering becomes much more important.

Fourth, the world's enormous capital spending cycle should create winners. Power generation, electrical infrastructure, defense, industrial automation, semiconductors, data centers and other capital-intensive industries could enjoy years of elevated investment and higher-than-expected earnings growth, in our view.

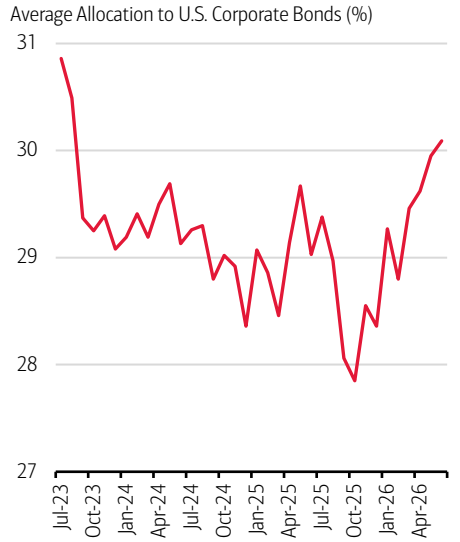
In the end, the age of capital abundance is fading—the era whereby capital basically chased borrowers is past. Prologue will be defined by borrowers chasing capital. The tide has turned.

Exhibit 5: Bond Funds Have Trimmed Treasury Exposure This Year...



Refers to average monthly exposure of U.S. Intermediate Core Bond funds to Treasurys and corporate bonds. Sources: Morningstar; Bloomberg. Data as of August 20, 2026.

Exhibit 6: ...While Adding Corporate Bond Exposure.



Refers to average monthly exposure of U.S. Intermediate Core Bond funds to Treasurys and corporate bonds. Sources: Morningstar; Bloomberg. Data as of August 20, 2026.

What portfolio addition could potentially help mitigate a sharp rise in inflation and/or yields? How about the start of a new hiking cycle where short-term interest rates rise consistently?

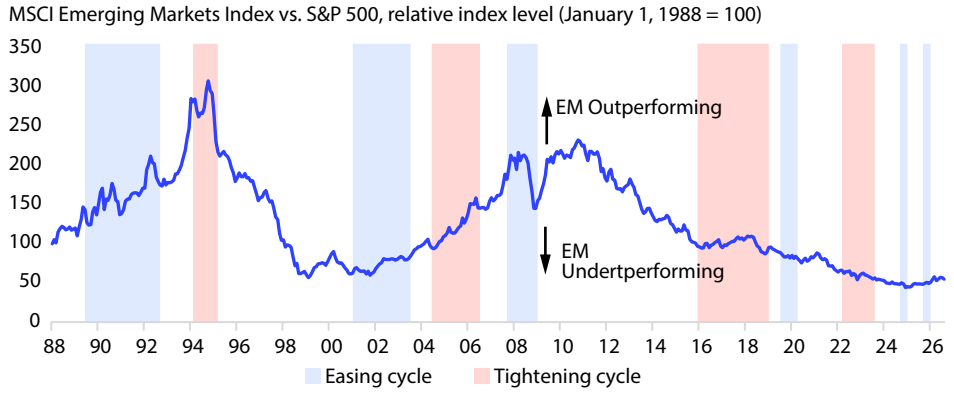
Christopher Hyzy, *Chief Investment Officer*

- If inflation or a weaker U.S. dollar are the reason for a sharp rise in yields, then increasing exposure to Commodities as a complement to a core portfolio makes sense. Above-average inflation that is consistent and not excessive mixed with a weaker U.S. dollar are generally tailwinds for commodities and the companies that mine for them. Additionally, if global economic growth is running above trend and the U.S. dollar weakens as it normalizes relative to other currencies, then adding non-U.S Developed Markets and Emerging Markets (EM) exposure also makes sense.
- If short rates rise sharply due to a new interest rate hiking cycle, a more defensive tilt in asset exposure makes sense. In other words, in the equity markets more defensive sectors become more in demand, lower-volatility and higher-quality areas become more in demand, cyclical shares tend to feel downward pressure, and highly levered areas without a ton of debt are generally impacted the most. If the short-term rate rise is minimal and a new hiking cycle is not beginning, then a solid mixture of Value and Growth Equities, laddered portfolio in bonds, exposure to commodities and thematic ideas make the most sense overall, in our view.

Portfolio Considerations

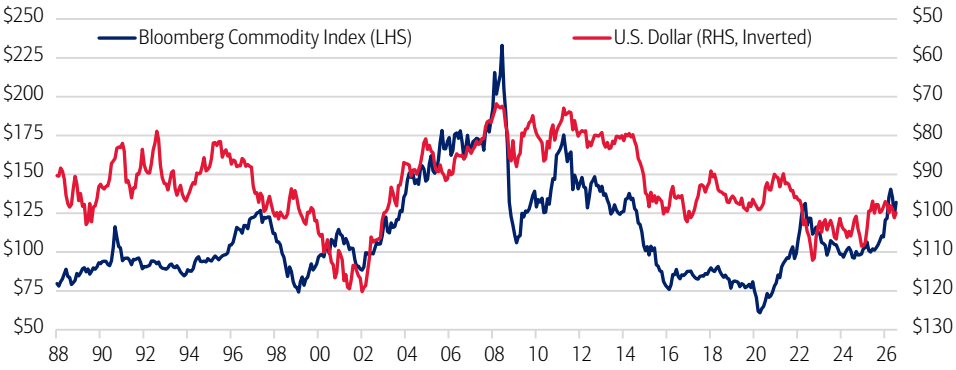
Rising inflation or a weaker U.S. dollar can favor commodities and international Equities, while sharp rate hikes support a more defensive stance, though a balanced mix of Value and Growth stocks, bonds, commodities, and thematic investments remains appropriate if rate increases are limited.

Exhibit 7: MSCI EM vs S&P 500 Indexes Through Fed Cycles.



Sources: Bloomberg; Chief Investment Office. Data as of July 31, 2026. It is not possible to invest directly in an index. Please refer to index definitions at the end of this report. **Past performance is no guarantee of future results.**

Exhibit 8: A Weaker Dollar Has Historically Fueled Commodity Strength.



Source: Bloomberg. Data as of August 27, 2026. It is not possible to invest directly in an index. Please refer to index definitions at the end of this report. **Past performance is no guarantee of future results.**

Equities

Equities	Total Return in USD (%) Current	WTD	MTD	YTD
DJIA	53,559.99	0.6	2.2	12.6
NASDAQ	26,402.42	0.9	4.1	14.0
S&P 500	7,711.76	0.5	3.1	13.5
S&P 400 Mid Cap	3,779.47	-1.3	0.7	15.3
Russell 2000	2,972.37	-1.5	1.5	20.6
MSCI World	4,986.16	0.3	3.0	13.5
MSCI EAFE	3,246.34	0.1	2.4	14.3
MSCI Emerging Markets	1,722.14	0.0	3.5	24.3

Fixed Income†

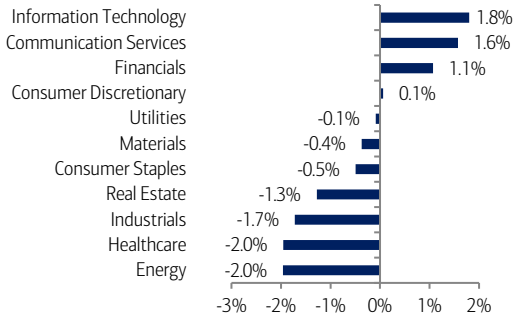
Fixed Income	Total Return in USD (%) Current	WTD	MTD	YTD
Corporate & Government	4.91	0.15	0.43	-0.38
Agencies	4.66	-0.10	0.20	0.44
Municipals	3.93	-0.16	0.06	0.49
U.S. Investment-Grade Credit	4.99	0.13	0.48	-0.21
International	5.48	0.32	0.53	-0.30
High Yield	7.27	0.27	1.00	2.72
90 Day Yield	3.80	3.79	3.75	3.63
2 Year Yield	4.34	4.24	4.29	3.47
10 Year Yield	4.72	4.73	4.73	4.17
30 Year Yield	5.21	5.27	5.27	4.84

Commodities & Currencies

Commodities	Total Return in USD (%) Current	WTD	MTD	YTD
Bloomberg Commodity	361.68	-0.1	6.5	30.9
WTI Crude $/Barrel††	83.40	-4.2	-1.5	45.2
Gold Spot $/Ounce††	4455.11	-3.2	10.1	3.1

Currencies	Total Return in USD (%) Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.16	1.17	1.15	1.17
USD/JPY	160.09	158.95	157.40	156.71
USD/CNH	6.73	6.72	6.75	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 08/24/2026 to 08/28/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 08/28/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 8/28/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.2	3.4
Real U.S. GDP (% q/q annualized)	2.1	1.5	2.5	2.4	2.1	2.2
CPI inflation (% y/y)	2.7	3.8	3.2	2.9	3.2	2.0
Core CPI inflation (% y/y)	2.5	2.7	2.4	2.5	2.5	2.5
Unemployment rate (%)	4.3	4.3	4.2	4.2	4.2	4.2
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of August 28, 2026.
Sources: BofA Global Research; GWIM ISC as of August 28, 2026.

Asset Class Weightings (as of 8/4/2026)

Asset Class	CIO View Underweight	Neutral	Overweight
Global Equities			●
U.S. Large-cap Growth			●
U.S. Large-cap Value			●
U.S. Small-cap Growth			●
U.S. Small-cap Value			●
International Developed		●	
Emerging Markets			●
Global Fixed Income		●	
U.S. Governments		●	
U.S. Mortgages		●	
U.S. Corporates		●	
International Fixed Income		●	
High Yield		●	
U.S. Investment-grade Tax Exempt		●	
U.S. High Yield Tax Exempt		●	
Alternative Investments*			
Hedge Strategies Private Equity Private Credit Real Assets		●	
Cash			

CIO Equity Sector Views

Sector	CIO View Underweight	Neutral	Overweight
Industrials			●
Consumer Discretionary			●
Financials			●
Information Technology		●	
Energy		●	
Materials		●	
Utilities		●	
Healthcare		●	
Communication Services		●	
Real Estate		●	
Consumer Staples		●	

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of August 4, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

Personal Consumption Expenditures Price Index is a key economic measure that tracks the average change in prices paid by U.S. consumers for goods and services.

Citi Economic Surprise Index is an economic indicator that measures whether published macroeconomic data is beating or missing market expectations.

Consumer Price Index is a measure of the average change over time in the prices paid by urban consumers for a representative market basket of consumer goods and services.

MSCI Emerging Markets Index is a stock market index that tracks the performance of large-cap and mid-cap companies across 25 developing countries.

Bloomberg Commodity Index is a broadly diversified financial benchmark that tracks the price movements of futures contracts on physical commodities.

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Alternative investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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